



ACQLERATE

MODULE 8

# Small Business in Defense Contracting

*Size standards, set-aside programs, limitations on subcontracting, affiliation, mentor-protégé, and the graduation cliff. How the rules work from both sides of the table, and how good companies stay out of enforcement cases.*

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10 Lessons · ~237 Minutes · Lesson Book Edition

## Course Lessons

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## SMALL BUSINESS IN DEFENSE CONTRACTING · LESSON 1

# Size Standards and NAICS: How the Government Decides You Are Small

22 min

*Small is not a feeling. It is a number the SBA sets for each industry code, measured a specific way, on a specific date. This lesson explains NAICS codes, receipts-based and employee-based size standards, when size is measured, and the recertification events that can quietly turn a small company into a large one.*

## Small Is a Number, Not a Feeling

Ask most people at a 150-person defense contractor whether their company is small and they will say yes. Ask the SBA and the answer is: under which NAICS code, measured how, as of what date. A company can be small for engineering services, large for IT consulting, and small again for facilities support, all at the same time, because each industry has its own size standard. Understanding how the government draws that line is the first thing anyone working in or with small business contracting needs to know, because everything else in this module depends on it.

## NAICS: The Code That Picks the Size Standard

Every solicitation carries one NAICS code chosen by the contracting officer to describe the principal purpose of the work. That code, and only that code, determines the size standard for that competition. A company does not have a single NAICS; it can perform under many. What matters is whether the company is under the standard for the code on this solicitation. The CO's choice can be challenged. If you believe the code on a solicitation does not describe the work, and a different code with a different size standard would, you can appeal the NAICS designation to the SBA's Office of Hearings and Appeals, but only within a short window after the solicitation is issued. After that, the code stands.

## Two Kinds of Size Standard

| TYPE           | MEASURED AS                                                                                    | AVERAGING PERIOD                 | TYPICAL INDUSTRIES                                     | EXAMPLE STANDARDS (VERIFY CURRENT TABLE)                       |
|----------------|------------------------------------------------------------------------------------------------|----------------------------------|--------------------------------------------------------|----------------------------------------------------------------|
| Receipts-based | Average annual receipts in dollars (all revenue, including subcontract revenue and affiliates) | Last five completed fiscal years | Most services: engineering, IT, consulting, facilities | Roughly \$19M to \$47M depending on the code; some codes lower |
| Employee-based | Average headcount, counting all employees including part-time and temporary                    | Preceding 24 months              | Manufacturing, some IT (e.g., computer hardware), R&D  | Commonly 500 to 1,500 employees depending on the code          |

## How Receipts Are Counted

Receipts means total income plus cost of goods sold as reported on the company's tax returns, not profit and not just prime contract revenue. Subcontract revenue counts. Revenue from commercial customers counts. Revenue of affiliates counts. The average is taken over the last five completed fiscal years, which means a big growth year stays in the calculation for five years and a company that is shrinking stays large for a while after it has actually gotten small. That five-year window is a planning tool. A company approaching its size standard can see the crossover date years in advance by projecting the rolling average. Companies that get surprised by it were not looking.

## The Receipts Test

Average Annual Receipts = (Sum of receipts for the last 5 completed fiscal years) ÷ 5  
(including receipts of all affiliates)  
Small if Average ≤ Size Standard for the solicitation's NAICS code

Example: receipts of \$14M, \$18M, \$22M, \$26M, and \$30M average to \$22M. Against a \$47M standard the company is small. Against a \$19M standard it is large, even though three of its five years were under \$19M.

## When Size Is Measured

Size is determined as of the date the company submits its initial offer including price. If the company is small on that date, it is small for that award, even if it grows past the standard before award or during performance. That rule is why a company at \$45M against a \$47M standard can still win a five-year contract as a small business: it was small when it bid. The flip side: a company that is large on the day it bids cannot fix that by shrinking later, and a company that certifies small on the wrong date, or under the wrong NAICS, has made a false certification, which is a far bigger problem than losing the award.

**REAL TALK**

Self-certification means nobody checks until someone has a reason to. The reason is usually a competitor who lost and files a size protest, or an auditor years later. At that point the company has to prove it was small on the day it bid, with tax returns and affiliate analysis. Certify from the numbers, not from the feeling, and keep the numbers.

## Recertification: The Events That Reopen the Question

Size is locked at offer for a given award, with exceptions. These are the moments the question gets asked again.

- **Long-term contracts, year five** Within 120 days before the end of the fifth year of a contract longer than five years (and on each option after that), the contractor must recertify. If it is now large, the agency can no longer count the contract toward small business goals and may choose not to exercise the option.
- **Merger, acquisition, or sale** Within 30 days of a transaction that changes ownership or control, the contractor must recertify. This is the trigger behind the "set-aside cliff" in the Business module.
- **Task orders under a set-aside vehicle** The CO may require recertification for a specific order. Under many multiple-award set-aside vehicles, status is checked at the order level.
- **Novation** When contracts transfer to a new owner, the successor recertifies.

One sentence to teach your team: **you are small only under a specific NAICS code, measured by the SBA's rules on the day you submit your offer, and the answer can change at year five, at any sale, and on any order.**

**INTERMEDIATE**

## Choosing Where to Compete: NAICS as Strategy

Because size depends on the code, small business strategy starts with knowing which codes you are comfortably small under and which you are not. A \$35M services company is small under most engineering and consulting codes but large under a few with lower standards. Capture teams should keep a simple table: the NAICS codes the company pursues, the standard for each, the company's current five-year average, and the projected crossover year. That table tells you which set-asides are open to you, which are closing, and when the company needs to be ready to compete full and open.

## Employee Counting: The Traps

Employee-based standards count every person on payroll, including part-time, temporary, and employees of affiliates, averaged over 24 months. Independent contractors generally do not count, but a company that

reclassifies staff as contractors to stay under a headcount standard is inviting scrutiny from both the SBA and the IRS. Leased employees and PEO arrangements are counted as employees if the company controls the work. A manufacturing company at 480 employees against a 500 standard has essentially no room to grow without a plan for what happens at 501.

## Same Company, Different Codes

| PURSUIT                            | NAICS (EXAMPLE) | SIZE STANDARD (ILLUSTRATIVE) | COMPANY AT \$30M AVG RECEIPTS / 180 EMPLOYEES | STATUS |
|------------------------------------|-----------------|------------------------------|-----------------------------------------------|--------|
| Engineering services               | 541330          | \$25.5M receipts             | \$30M                                         | Large  |
| Computer systems design            | 541512          | \$34M receipts               | \$30M                                         | Small  |
| Facilities support                 | 561210          | \$47M receipts               | \$30M                                         | Small  |
| Electronic component manufacturing | 334419          | 750 employees                | 180                                           | Small  |
| R&D in physical sciences           | 541715          | 1,000 employees              | 180                                           | Small  |

## The NAICS Appeal: A Narrow but Real Tool

When a CO assigns a NAICS code that does not fit, the consequence for a small business can be losing eligibility entirely. The appeal to the SBA Office of Hearings and Appeals must be filed within 10 calendar days of the solicitation (or an amendment changing the code). OHA decides based on which code best describes the principal purpose of the work, and it does change codes when the case is clear. Capture teams should read the NAICS on every solicitation the day it drops, because the window closes before most companies have finished reading Section L.

### ADVANCED

## Size Standard Changes: Inflation and Industry Reviews

The SBA adjusts receipts-based standards for inflation periodically and reviews every industry's standard on a rolling cycle. Both can move a company across the line in either direction without the company changing at all. An inflation adjustment can make a company that was large last year small this year, which reopens set-aside competitions to it. An industry review can lower a standard and do the opposite. Senior BD leaders track the SBA's proposed rules on size standards the way they track NDAA provisions, because a proposed change to a key NAICS is a strategic event.

## Proving Size in a Protest

When a size protest is filed, the SBA area office asks the protested company for a completed SBA Form 355 and supporting documents: tax returns for the relevant years, ownership records, agreements with any companies that might be affiliates, and an explanation of any relationships the protester raised. The company has a few business days to respond, and an incomplete response can result in an adverse determination by default. Senior leaders keep a "size file" current at all times: five years of returns, an affiliation analysis, the org chart, and copies of any teaming, management, or financing agreements that could suggest control. The file is cheap to maintain and impossible to assemble in three days.

## Recertification Consequences, Contract by Contract

When a company recertifies as large, existing contracts are not automatically terminated. The effects are more specific.

### Agency goal credit stops GOALS

The agency can no longer count the contract toward its small business goals.

This is the real pressure point. An agency that needs the goal credit has an incentive not to exercise the next option.

### Options are at the agency's discretion OPTIONS

The agency may exercise remaining options, but does not have to, and often chooses to recompetete instead.

Plan the recompetete as if the option will not be exercised.

### Set-aside orders under the vehicle close ORDERS

On a multiple-award set-aside vehicle, a now-large holder generally cannot receive new set-aside orders.

Existing orders continue; the pipeline under that vehicle ends.

### The recompetete is full and open, or someone else's set-aside RECOMPETE

The company competes as large next time, or watches the work go to a small competitor.

The Graduation Cliff lesson covers how to prepare for this years in advance.

### WHAT SENIOR LEADERS DO DIFFERENTLY

They know the company's five-year receipts average to the dollar and its crossover year under every NAICS the company pursues. They keep a size file ready for a protest. They read the NAICS on every solicitation within the appeal window. And they treat SBA size standard rulemaking as strategic intelligence, because a rule change can open or close a market overnight.

**BUILD ON THIS**

- **Affiliation** Why a company that looks small may not be
- **The Graduation Cliff** Planning for the day the company is large
- **The DoD Contracting Enterprise** Filtering SAM.gov by NAICS and set-aside type



## Key Terms

### NAICS Code

North American Industry Classification System. A six-digit code that classifies the type of work a contract buys. The contracting officer assigns one NAICS to each solicitation, and that code determines the size standard that applies.

### Size Standard

The maximum size a company can be and still count as small for a given NAICS code. Expressed either as average annual receipts (dollars) or as number of employees.

### Receipts-Based Standard

A size standard expressed in dollars of average annual receipts. Used for most services NAICS codes. Receipts are averaged over the company's last five completed fiscal years.

### Employee-Based Standard

A size standard expressed as a headcount. Used for most manufacturing and some other NAICS codes. Employees are averaged over the preceding 24 months, counting all full-time, part-time, and temporary staff.

### Self-Certification

For plain small business status, a company certifies its own size in SAM and on each offer. There is no SBA review in advance; the certification is checked only if protested or audited.

### Date of Size Determination

Size is determined as of the date the company submits its initial offer including price. Growing large after that date does not change eligibility for that award.

### Recertification

Re-stating size status at required events: before the end of the fifth year of a long-term contract, on each option thereafter, after a merger or acquisition, and when a task order CO requests it.

### Affiliation

The rule that adds the receipts or employees of companies that control or are controlled by you to your own size. Covered in its own lesson; it is the most common reason a company that looks small is not.

### SAM

The System for Award Management. Where a company registers to do business with the government and where its size and socioeconomic representations are recorded.

### Table of Size Standards

The SBA document listing every NAICS code and its size standard. Updated periodically for inflation and industry reviews. The current table controls, not last year's.

## Knowledge Check

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What determines which size standard applies to a particular competition?

- A. The company's primary NAICS in SAM
- ✓ B. The NAICS code the contracting officer assigned to the solicitation
- C. The company's largest contract
- D. The agency's small business goal

### WHY

The solicitation's NAICS code, chosen by the CO, controls the size standard for that competition.

A company's receipts over its last five fiscal years were \$14M, \$18M, \$22M, \$26M, and \$30M. The NAICS standard is \$19M. Is the company small?

- A. Yes, because three years were under \$19M
- ✓ B. No, because the five-year average is \$22M
- C. Yes, because the most recent year counts
- D. It depends on employee count

### WHY

Receipts-based size uses the five-year average:  $\$110M \div 5 = \$22M$ , above the \$19M standard.

As of what date is a company's size determined for a given award?

- A. The award date
- ✓ B. The date of the initial offer including price
- C. The end of the base year
- D. The date of SAM registration

### WHY

Size is locked at the initial offer including price. Growing large afterward does not affect that award.

**Which of these counts toward average annual receipts?**

A. Only prime contract revenue from the government

✓ B. All revenue, including subcontract and commercial revenue, plus affiliates' receipts

C. Profit only

D. Revenue from set-aside contracts only

**WHY**

Receipts means total income plus cost of goods sold from tax returns, for the company and its affiliates.

**Over what period are employees averaged for an employee-based size standard?**

A. The last fiscal year

✓ B. The preceding 24 months

C. The last five years

D. The current payroll

**WHY**

Headcount is averaged over the preceding 24 months, counting full-time, part-time, and temporary employees.

**A company holding a seven-year set-aside contract must recertify its size:**

A. Every year

✓ B. Within 120 days before the end of the fifth year, and on each option thereafter

C. Only if protested

D. Never; size is locked at award

**WHY**

Long-term contracts require recertification before year five ends and at each subsequent option.

**Within how many days of a merger or acquisition must a contractor recertify size?**

✓ **A. 30 days**

B. 90 days

C. 1 year

D. Recertification is not required

**WHY**

Ownership or control changes trigger recertification within 30 days. This is the mechanism behind the set-aside cliff.

**A company believes the NAICS code on a solicitation does not fit the work. What can it do?**

A. Bid under a different code

✓ **B. Appeal the NAICS designation to SBA's Office of Hearings and Appeals within 10 calendar days**

C. File a GAO protest after award

D. Ask the CO to waive the size standard

**WHY**

NAICS appeals go to OHA and have a short window after the solicitation or amendment.

**When a contractor recertifies as large on an existing contract, what happens?**

A. The contract is terminated immediately

✓ **B. The agency loses goal credit and may decline to exercise remaining options; new set-aside orders under a vehicle generally stop**

C. Nothing changes

D. The contract converts to full and open

**WHY**

Existing performance continues, but goal credit ends and the agency's incentive to exercise options changes.

**Match the standard type to its measurement:****CORRECT MATCHES**

|                            |                                                |
|----------------------------|------------------------------------------------|
| Receipts-based standard    | Five-year average of total receipts            |
| Employee-based standard    | 24-month average headcount including part-time |
| Date of size determination | Initial offer including price                  |

**WHY**

Receipts-based standards use five-year average receipts; employee-based use 24-month average headcount.

**Order the steps a company takes to check eligibility for a set-aside:****CORRECT ORDER**

1. Read the NAICS code on the solicitation
2. Look up the size standard for that code in the current SBA table
3. Compute size (five-year receipts or 24-month headcount) including affiliates
4. Compare and certify accordingly on the offer

**WHY**

Read the NAICS on the solicitation, look up its size standard, compute the company's size including affiliates under that standard's method, then compare.

**Why should a company keep a "size file" current at all times?**

A. SAM requires it

✓ B. A size protest gives only a few business days to prove size with tax returns and affiliation records

C. To calculate indirect rates

D. For CPARS

**WHY**

Protests are answered on a short clock. An incomplete response can produce an adverse determination by default.

## SMALL BUSINESS IN DEFENSE CONTRACTING · LESSON 2

# The Set-Aside Programs: 8(a), HUBZone, SDVOSB, WOSB, and Plain Small

26 min

*The five doors into set-aside work: what each program requires, who certifies it, what it lets the government do (set-asides and sole-source awards), and the goals that make contracting officers want to use them. With the Rule of Two that decides when a competition is reserved for small business at all.*

## Five Doors, One Building

The government reserves a large share of its contract dollars for small businesses, and it does so through five programs. Plain small business set-asides are the widest door: any company under the size standard can walk through. The other four, 8(a), HUBZone, SDVOSB, and WOSB, are narrower doors for specific categories, and each carries extra tools the contracting officer can use, especially sole-source authority. The Contracting Foundations lessons mentioned set-asides as one of the six reasons the government can skip full and open competition. This lesson explains how each program actually works.

## The Rule of Two: When a Competition Is Reserved at All

Before any socioeconomic program matters, the CO decides whether to set the acquisition aside for small business. The FAR rule is simple to state and endlessly argued about. Above the simplified acquisition threshold, the CO must set the acquisition aside for small business when there is a reasonable expectation that offers will be received from at least two responsible small businesses and award will be made at fair market prices. Below the SAT (and above the micro-purchase threshold), the acquisition is automatically reserved for small business unless the CO cannot find any. The "reasonable expectation" comes from market research: sources sought notices, industry days, SAM searches, and prior competitions. That is why responding to a sources sought notice matters even when there is no RFP yet. Two credible small business responses can turn a full-and-open competition into a set-aside. The government-side lesson at the end of this module covers how the CO documents this.

## The Five Programs at a Glance

| PROGRAM        | CORE ELIGIBILITY                                                                                                               | WHO CERTIFIES                         | SPECIAL TOOLS                                                                                     | NOTES                                                                                                           |
|----------------|--------------------------------------------------------------------------------------------------------------------------------|---------------------------------------|---------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------|
| Small business | Under the size standard for the NAICS                                                                                          | Self-certification in SAM             | Set-asides; automatic reservation under the SAT                                                   | The foundation for all the others                                                                               |
| 8(a)           | Small; 51% owned and controlled by socially and economically disadvantaged U.S. citizens; personal net worth and income limits | SBA (application and annual review)   | Sole source through SBA; 8(a)-only competitions; mentor-protégé                                   | Nine-year program term; eligibility rules have shifted with recent court decisions, verify current SBA guidance |
| HUBZone        | Small; principal office in a HUBZone; 35% of employees reside in HUBZones; 51% owned by U.S. citizens (or eligible entities)   | SBA                                   | HUBZone set-asides and sole source; 10% price evaluation preference in full-and-open competitions | Residency rule is the hard part to maintain                                                                     |
| SDVOSB         | Small; 51% unconditionally owned and controlled by service-disabled veterans; veteran manages daily operations                 | SBA VetCert (since 2023)              | SDVOSB set-asides and sole source; VA gives statutory priority                                    | Control must be real, not on paper                                                                              |
| WOSB / EDWOSB  | Small; 51% owned and controlled by women; EDWOSB adds economic disadvantage limits                                             | SBA or approved third-party certifier | Set-asides and sole source in NAICS codes where women are underrepresented                        | Only in designated NAICS codes                                                                                  |

## Sole Source: The Tool That Makes These Programs Powerful

A set-aside still requires competition among eligible firms. Sole source does not. Each socioeconomic program allows the CO to award directly to one eligible firm, without competition, when the CO does not expect two or more eligible firms to submit offers and the award is below a dollar threshold (in the low millions for services, higher for manufacturing; verify current figures). For 8(a) firms the authority is broader: awards are made through the SBA, the thresholds are higher, and DoD can make 8(a) sole-source awards well above the general threshold without a separate justification. For a small business, sole-source authority is the reason customers who like your work can keep giving it to you. For a government PM, it is the fastest legitimate path from requirement to award. Both sides should understand exactly which authority applies and what the CO has to document.

## The Goals That Drive Behavior

**23%**

Small business  
Statutory government-wide  
goal, prime dollars

**5%**

WOSB  
Statutory

**3%**

HUBZone  
Statutory

**3% → 5%**

SDVOSB  
Statutory 3%, raised by  
policy

### REAL TALK

Contracting officers and small business specialists are graded on these goals every year, and the grades are public. That means a certified HUBZone or SDVOSB firm is not just eligible for work; it is actively useful to the people who award it. The certification is a reason for a CO to call you. Companies that treat certification as paperwork miss that it is a marketing asset.

## Certification Has Moved to SBA

For years several programs relied on self-certification, and misuse followed. That has changed. SDVOSB certification moved to SBA's VetCert in 2023. WOSB certification has required SBA or third-party verification since 2020. HUBZone and 8(a) have always been SBA-certified. Only plain small business status is still self-certified, and even that is subject to protest. The practical effect: certification takes months, requires documents, and must be maintained. Start well before the competition you want it for.

One sentence to teach your team: **a set-aside reserves the competition, a sole source skips it, and the socioeconomic certifications are what let a contracting officer do either one for you.**

### INTERMEDIATE

## Ownership and Control: The Words That Matter in Every Program

Each program requires that eligible individuals own at least 51% and control the company. Ownership means direct, unconditional ownership: not through a trust the individual does not control, not subject to buyback agreements or options that could shift it, not with another party holding a veto. Control means the eligible individual holds the highest officer position, manages daily operations, and makes long-term decisions. An SDVOSB where the veteran owns 51% but the non-veteran partner signs the contracts, runs the finances, and holds the customer relationships is not an SDVOSB. It is a misrepresentation, and those get prosecuted. The Compliance Traps lesson covers the cases.



## 8(a): A Program, Not Just a Status

8(a) is different from the other certifications because it is a nine-year business development program with a beginning and an end. The first four years are developmental and the last five are transitional, with increasing requirements to win non-8(a) work. Firms get access to sole-source awards, 8(a)-restricted competitions, and the SBA mentor-protégé program. In return, SBA reviews them annually and can remove firms that no longer qualify. The program's eligibility rules around social disadvantage changed after a 2023 federal court decision, and applicants now document their individual circumstances rather than relying on group presumptions. Anyone advising on 8(a) should read SBA's current guidance rather than a summary from before that change.

## What the CO Needs to Use Each Authority

| ACTION                                                            | WHAT THE CO MUST FIND OR DOCUMENT                                                                                                                             |
|-------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Small business set-aside                                          | Rule of Two: reasonable expectation of two responsible small offerors at fair market prices                                                                   |
| Socioeconomic set-aside (HUBZone, SDVOSB, WOSB, 8(a) competitive) | Rule of Two among firms in that program; for WOSB, the NAICS must be on the designated list                                                                   |
| Socioeconomic sole source                                         | Only one eligible firm expected to offer; award below the program's sole-source threshold; firm is responsible; price fair and reasonable                     |
| 8(a) sole source                                                  | Requirement offered to and accepted by SBA (or under a partnership agreement); firm eligible; within thresholds or, for DoD, under the expanded DoD authority |
| HUBZone price preference                                          | Full-and-open competition; HUBZone offeror's price evaluated as if 10% lower than a large business's                                                          |

## Set-Aside Order of Precedence: There Is None

A common belief is that the CO must pick programs in a fixed order, 8(a) before HUBZone before SDVOSB. The FAR gives contracting officers discretion among the socioeconomic programs based on market research, agency goals, and progress toward them, with one exception: a requirement currently in the 8(a) program generally stays there unless SBA releases it. In practice, agencies that are behind on a specific goal tend to favor that program. Knowing which goals your customer is missing tells you which certification will get their attention.

## ADVANCED

## The VA Exception and Other Agency-Specific Rules

The Department of Veterans Affairs operates under its own statute that requires it to prioritize SDVOSBs and VOSBs above all other programs when the Rule of Two is met, a rule the Supreme Court enforced in 2016. DoD has expanded 8(a) sole-source authority. Some agencies have their own mentor-protégé programs. A small business that works across agencies needs to know that the same certification carries different weight depending on the customer, and a government PM moving between agencies should not assume the set-aside playbook travels.

## Stacking Certifications

A company can hold several certifications at once: small, 8(a), HUBZone, and SDVOSB are not exclusive. Each one is a separate door, and each one lets a different CO meet a different goal. Companies with multiple certifications have more ways to be awarded work and more ways to be useful. The cost is compliance: every certification has its own maintenance requirements, and the HUBZone residency rule in particular is hard to hold while growing. Senior leaders decide deliberately which certifications to pursue based on the customers they target and the goals those customers are missing, not on which ones the company happens to qualify for.

## Program Pitfalls Senior Leaders Watch

Each program has a characteristic way of going wrong.

### 8(a): the term ends 8(A)

Nine years pass. Firms that have not built non-8(a) revenue by year seven exit the program with no pipeline. SBA measures non-8(a) revenue in the transitional years for a reason. Treat it as the real deadline.

### HUBZone: the 35% slips HUBZONE

Hiring outside the zone, or a zone losing its designation, drops residency below 35%.

Legacy-employee rules help, but the company must attempt to maintain the ratio during performance and must meet it at each certification.

### SDVOSB: control on paper only SDVOSB

The veteran owns the shares; someone else runs the company.

This is the fact pattern in most SDVOSB fraud cases. VetCert now examines it directly.

### WOSB: wrong NAICS WOSB

WOSB set-asides are only available in designated NAICS codes.

A WOSB pursuing work outside the designated codes competes as plain small business.

**All: the affiliation surprise** ALL

An investor, a mentor, or a dominant sub makes the firm large or not controlled by the eligible owner.

The Affiliation lesson is the one to read next.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

They know which goals each target customer is missing and lead with the certification that helps. They keep every certification's maintenance requirements on a calendar. They build non-set-aside revenue years before a program term ends. And they never let ownership and control become a formality, because the programs are enforced on substance.

**BUILD ON THIS**

- **Limitations on Subcontracting** What a set-aside prime must perform itself
- **Set-Asides From the Government Side** How the CO documents the Rule of Two
- **OTAs & Streamlined Acquisition** The six reasons the government can skip competition

## Key Terms

### Set-Aside

A competition restricted to small businesses, or to a specific socioeconomic category of small business. Large businesses cannot bid.

### Rule of Two

The FAR test for setting aside an acquisition: the CO must set it aside for small business when there is a reasonable expectation of offers from at least two responsible small businesses at fair market prices.

### 8(a) Business Development Program

An SBA program for small businesses owned and controlled by socially and economically disadvantaged individuals. Nine-year term. Allows sole-source awards through the SBA and 8(a)-restricted competitions.

### HUBZone

Historically Underutilized Business Zone program. Requires a principal office in a HUBZone and at least 35% of employees living in HUBZones. Certified by SBA.

### SDVOSB

Service-Disabled Veteran-Owned Small Business. At least 51% unconditionally owned and controlled by one or more service-disabled veterans. Certified by SBA since 2023 (VetCert).

### WOSB / EDWOSB

Women-Owned Small Business, and Economically Disadvantaged WOSB. At least 51% owned and controlled by women; EDWOSB adds personal net worth and income limits. Certified by SBA or an approved third party.

### Sole Source

An award without competition. Each socioeconomic program allows sole-source awards below a dollar threshold when the CO cannot expect two eligible offerors; 8(a) sole source is the most widely used.

### Statutory Goals

Government-wide targets: 23% of prime contract dollars to small business, with sub-goals for SDB (raised by policy in recent years), WOSB (5%), HUBZone (3%), and SDVOSB (3%, raised to 5% by executive policy). Agencies are graded on them.

### Small Disadvantaged Business (SDB)

A small business at least 51% owned and controlled by socially and economically disadvantaged individuals. 8(a) firms are SDBs; SDB status can also be self-certified for goaling purposes.

### Simplified Acquisition Threshold (SAT)

The dollar level below which simplified procedures apply. Acquisitions between the micro-purchase threshold and the SAT are automatically reserved for small business. The threshold is adjusted for inflation periodically; verify the current figure.

## Knowledge Check

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**Under the Rule of Two, when must a CO set aside an acquisition above the SAT for small business?**

A. Whenever a small business asks

✓ **B. When there is a reasonable expectation of offers from at least two responsible small businesses at fair market prices**

C. Only for 8(a) firms

D. Never above the SAT

### WHY

The FAR requires a set-aside when market research supports a reasonable expectation of two responsible small offerors at fair prices.

**Acquisitions between the micro-purchase threshold and the simplified acquisition threshold are:**

A. Always full and open

✓ **B. Automatically reserved for small business unless the CO cannot find any**

C. Reserved for 8(a) only

D. Exempt from the FAR

### WHY

The FAR reserves this band for small business by default.

**Which program requires that at least 35% of employees live in designated zones?**

A. 8(a)

B. SDVOSB

✓ **C. HUBZone**

D. WOSB

### WHY

HUBZone eligibility depends on principal office location and employee residency in HUBZones.

**Since 2023, who certifies SDVOSB status?**

- A. The company itself
- B. The Department of Veterans Affairs

✓ C. SBA through VetCert

- D. The contracting officer

**WHY**

SDVOSB certification moved to SBA's VetCert in 2023, replacing self-certification for most purposes.

**What does sole-source authority under a socioeconomic program allow?**

- A. A competition limited to two firms

✓ B. A direct award to one eligible firm without competition, within a dollar threshold and when only one eligible firm is expected

- C. An award to any small business
- D. A price preference

**WHY**

Sole source skips competition entirely. Each program has its own threshold and conditions.

**The 8(a) program lasts:**

- A. Indefinitely

✓ B. Nine years: four developmental and five transitional

- C. Five years
- D. Until the firm exceeds \$10M

**WHY**

8(a) is a business development program with a fixed term. Firms are expected to build non-8(a) revenue before it ends.

**What does the HUBZone price evaluation preference do?**

A. Guarantees award to HUBZone firms

✓ **B. In full-and-open competitions, evaluates a HUBZone offeror's price as if it were 10% lower than a large business's**

C. Adds 10% to the contract value

D. Applies only to set-asides

**WHY**

The preference applies in unrestricted competitions and can decide close price comparisons against large firms.

**An SDVOSB is 51% owned by a service-disabled veteran, but the non-veteran partner runs daily operations and signs contracts. Is the firm eligible?**

A. Yes, ownership is what counts

✓ **B. No; the veteran must also control the company and manage daily operations**

C. Yes, if the veteran attends board meetings

D. Only for VA contracts

**WHY**

Ownership and control are both required. Control on paper only is the classic misrepresentation fact pattern.

**Is there a fixed order of precedence among 8(a), HUBZone, SDVOSB, and WOSB set-asides?**

A. Yes: 8(a) always first

✓ **B. No; the CO has discretion based on market research and agency goals, except that requirements in the 8(a) program generally stay there**

C. Yes: HUBZone always first

D. Yes: whichever has the lowest threshold

**WHY**

The FAR gives COs discretion among the programs. Agencies behind on a goal tend to favor that program.

**Match the program to its distinctive requirement:****CORRECT MATCHES**

|                |                                                           |
|----------------|-----------------------------------------------------------|
| 8(a)           | Nine-year program term with SBA review                    |
| HUBZone        | 35% of employees living in designated zones               |
| SDVOSB         | Service-disabled veteran owns 51% and controls operations |
| WOSB set-aside | Only in designated NAICS codes                            |

**WHY**

8(a) has a nine-year term; HUBZone has the residency rule; SDVOSB requires service-disabled veteran ownership and control; WOSB set-asides are limited to designated NAICS codes.

**Why does responding to a sources sought notice matter for a small business?**

A. It is required to bid later

✓ **B. Credible small business responses give the CO the market research to set the acquisition aside under the Rule of Two**

C. It guarantees a sole-source award

D. It replaces SAM registration

**WHY**

The Rule of Two depends on the CO's reasonable expectation, which comes from market research such as sources sought responses.

**Order the steps for a socioeconomic sole-source award:****CORRECT ORDER**

1. Market research indicates only one eligible firm is likely to offer
2. CO confirms the award is below the program's sole-source threshold
3. CO determines the firm is responsible and the price fair and reasonable
4. Award without competition

**WHY**

Market research finds only one eligible firm, the CO confirms the award is under the threshold, determines responsibility and price reasonableness, then awards without competition.



## SMALL BUSINESS IN DEFENSE CONTRACTING · LESSON 3

# Limitations on Subcontracting: How Much a Set-Aside Prime Must Do Itself

24 min

*The rule that keeps set-asides from becoming fronts. The percentages for services, supplies, and construction; how "amount paid" and "similarly situated entities" change the math; the nonmanufacturer rule; and how compliance is checked and punished. With a worked example a PM can run every month.*

## The Rule That Keeps Set-Asides Honest

The government reserves work for small businesses so that small businesses do it. Without a rule, a small firm could win a set-aside and hand the work to a large company for a fee, and the goal would be met on paper while the large company did the work. Limitations on subcontracting is that rule. It says the small business prime must perform a minimum share of the contract itself. The Business module's lesson on pass-through covered the general version of this concern; this is the set-aside version, with fixed percentages and real penalties.

## The Percentages

| TYPE OF CONTRACT                      | THE PRIME MAY NOT PAY SUBCONTRACTORS MORE THAN                                 | BASE FOR THE CALCULATION                                                                       |
|---------------------------------------|--------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|
| Services                              | 50%                                                                            | Of the amount paid by the government (excluding cost of materials in the rare case they apply) |
| Supplies (prime is the manufacturer)  | 50%                                                                            | Of the amount paid, excluding the cost of materials                                            |
| Supplies (prime is a nonmanufacturer) | Must supply the product of a small business manufacturer (or a waiver applies) | Nonmanufacturer rule instead of a percentage                                                   |
| General construction                  | 85%                                                                            | Of the amount paid, excluding cost of materials (prime performs at least 15%)                  |
| Special trade construction            | 75%                                                                            | Of the amount paid, excluding cost of materials (prime performs at least 25%)                  |

## It Is a Dollar Test, Measured on What the Government Pays

The services rule is often stated as "the prime must do 50% of the work." The actual test is that the prime may not pay its subcontractors more than 50% of the amount the government pays the prime. Those are different. A prime that self-performs 45% of the hours with senior people at high rates might pass. A prime that self-performs 55% of the hours with junior staff while paying a sub for expensive specialists might fail. Run the numbers in dollars, from the invoice side, not from the staffing plan.

## The Services Test

Subcontract payments to non-similarly-situated entities ÷ Amount paid by the government ≤ 50%

Example: the government pays the prime \$10M over the base period. The prime paid \$4.2M to a large subcontractor and \$1.5M to a similarly situated small sub. Only the \$4.2M counts: 42% of \$10M. Compliant. If the large sub had been paid \$5.5M, the prime would be at 55% and in violation.

## Similarly Situated Entities: The Relief Valve

The rule is about keeping work with the kind of business the set-aside was meant to help, so subcontracting to that same kind of business is not penalized. A subcontractor that is small under the subcontract's NAICS and holds the same status as the set-aside (small on a small business set-aside, SDVOSB on an SDVOSB set-aside, and so on) is a similarly situated entity, and payments to it count as if the prime performed the work. Two SDVOSBs can therefore team on an SDVOSB set-aside in almost any split. Note the status must match the set-aside, not just be "some" certification: an 8(a) sub on an SDVOSB set-aside is not similarly situated unless it is also SDVOSB. And the similarly situated sub cannot itself pass the work down to a large firm; the rule reaches through.

### REAL TALK

The 49% large subcontractor is a legal and common structure. The problem is when the 49% is the plan and 65% is the reality, because the large sub had the people and the small prime did not. Compliance is measured at the end of the period on real dollars. A prime that cannot staff its share has to fix that before the period ends, not explain it after.

## When Compliance Is Measured

The clause requires compliance by the end of the base period and then by the end of each option period, unless the CO specifies the end of the contract. That gives a prime some room within a period to be temporarily over while ramping up, but no room across periods. A PM should track the ratio monthly, project it to period end, and act early if the projection is over. The CO can ask for the numbers at any time

and can withhold payments, terminate, or refer for investigation if the prime cannot demonstrate compliance.

One sentence to teach your team: **on a services set-aside, no more than half of what the government pays us can go to subcontractors that are not also small and the same status, measured in dollars by the end of each period.**

#### INTERMEDIATE

## Mixed Contracts and the "Greatest Percentage" Rule

Many contracts include both services and supplies, or services and construction. The rule applied is the one for whichever category accounts for the greatest share of the contract value, and it is applied to the whole contract. A \$10M contract with \$6M of services and \$4M of supplies is a services contract for this purpose and the 50% amount-paid test applies to all \$10M. The CO determines the category; if the solicitation is unclear, ask before bidding, because the answer changes the teaming structure.

## The Nonmanufacturer Rule

On supply set-asides, a small business that does not make the product can still be eligible as a nonmanufacturer if four conditions hold: it has 500 or fewer employees, it is primarily engaged in the retail or wholesale trade and normally sells the type of item being supplied, it takes ownership or possession of the item, and it supplies the product of a small business manufacturer made in the United States. The last condition is the hard one. If no small manufacturer makes the item, SBA can grant a class or individual waiver, and the CO must have the waiver in place before award. A small dealer supplying a large manufacturer's product without a waiver on a supply set-aside is out of compliance from day one.

## Running the Monthly Compliance Check

| STEP                                                 | SOURCE                                                                       | WHAT TO RECORD                      |
|------------------------------------------------------|------------------------------------------------------------------------------|-------------------------------------|
| 1. Amount paid by the government to date this period | Invoices paid (not billed)                                                   | The denominator                     |
| 2. Payments to each subcontractor this period        | Accounts payable                                                             | Split by similarly situated vs. not |
| 3. Ratio to date                                     | Step 2 (non-similarly situated) ÷ Step 1                                     | Compare to the limit                |
| 4. Projected ratio at period end                     | Staffing and subcontract forecasts                                           | The number that matters             |
| 5. Actions if projection exceeds the limit           | Hire, shift work in-house, replace a large sub with a similarly situated one | Documented decisions, dated         |

## Materials, ODCs, and What Does Not Count

For supplies and construction, the cost of materials is excluded from both sides of the calculation. For services, materials are rarely significant, but ODCs like travel and equipment purchased for the government are generally not "subcontracting" either. What counts is money paid to another entity to perform the contract's work. When in doubt, the conservative reading is to count it, and to ask the CO in writing if the answer changes compliance.

### ADVANCED

## Enforcement: How Violations Are Found and What They Cost

Limitations violations surface three ways: a CO or small business specialist asks for the numbers, a competitor files a size or status protest alleging an ostensible subcontractor relationship, or a whistleblower files a False Claims Act suit. The consequences escalate from there. The CO can withhold payment, decline options, or terminate. SBA can find the prime and its sub affiliated (ostensible subcontractor rule), making the prime large. Statute sets a specific penalty for willful violation: the greater of \$500,000 or the dollar amount subcontracted beyond the limit. And because a set-aside award is treated as a certification of compliance, a knowing violation is a false claim, with damages measured by the presumption-of-loss rule: the full contract value, trebled. Several companies have paid eight-figure settlements on these facts.

## Structuring a Compliant Team From the Start

Senior leaders design the team to the rule before the proposal is written. Three techniques. First, put the high-dollar labor with the prime and similarly situated subs, and give the large partner narrow, well-defined scope with a subcontract ceiling that cannot exceed the limit. Second, write the subcontract so the prime can reduce the large sub's scope if the ratio drifts, rather than being locked into a workshare that forces a violation. Third, include the ratio in the monthly program review with the same visibility as cost and schedule. A team that is compliant at 45% at proposal time and has no mechanism to stay there will be at 55% by the option year.

## Fact Patterns That End Badly

From enforcement cases and SBA decisions. Each looked fine on the org chart.

### The large sub supplies the staff OSTENSIBLE SUB

The small prime's "employees" are former large-sub employees transferred for the contract and managed by the sub.

SBA looks at who recruited, who supervises, and who the customer calls. The prime is affiliated with the sub and the award is unwound.

**The pass-down** REACH-THROUGH

A similarly situated sub takes 40% of the work and subcontracts most of it to a large firm.

The rule reaches through. Work the similarly situated sub passes to a non-similarly-situated firm does not count toward the prime's share.

**The hours-based defense** WRONG TEST

The prime argues it performed 52% of the hours.

The test is dollars paid. Senior specialists at the large sub can push the dollar ratio over 50% while hours stay under.

**The period-end surprise** TIMING

The prime planned to hire in month nine and did not.

Compliance is measured at period end on actuals. Unhired staff is not a defense.

**The supply "dealer" with no waiver** NONMANUFACTURER

A small reseller supplies a large manufacturer's product on a set-aside without an SBA waiver.

Non-compliant at award. The waiver must exist before award; the CO cannot fix it afterward.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

They run the dollar ratio monthly and project it to period end. They structure subcontracts so the large partner's scope can shrink if the ratio drifts. They confirm similarly situated status for every sub in writing, under the subcontract's NAICS. They get nonmanufacturer waivers before award, not after. And they treat a projected violation as a stop-and-fix event, because the downside is not a finding, it is a false claim.

**BUILD ON THIS**

- **Pass-Through vs. Value-Add** The general FAR rule this one specializes
- **Affiliation** The ostensible subcontractor rule
- **Small Business Compliance Traps** The enforcement cases

## Key Terms

### Limitations on Subcontracting

The rule (13 CFR 125.6 and FAR 52.219-14) requiring a small business prime on a set-aside or sole-source award to perform a minimum share of the work itself rather than subcontracting it.

### Amount Paid

The basis for the services and supplies calculation: the prime may not pay subcontractors more than a set percentage of the amount the government pays the prime. It is a dollar test, not an hours test.

### Similarly Situated Entity

A subcontractor that is small under the NAICS assigned to the subcontract and holds the same socioeconomic status as the prime's set-aside (for example, another SDVOSB on an SDVOSB set-aside). Work done by similarly situated entities counts as if the prime did it.

### Nonmanufacturer Rule

For supply contracts, a small business that does not manufacture the item may still qualify if it has 500 or fewer employees, is primarily a dealer in the product, takes ownership of it, and supplies the product of a small U.S. manufacturer (or SBA grants a waiver).

### Mixed Contract

A contract with both services and supplies. The limitation that applies is the one for the category that accounts for the greatest percentage of the contract value.

### Period of Performance

The window over which compliance is measured: by the end of the base period, and then by the end of each option, or by the end of the contract if the CO so specifies.

### FAR 52.219-14

The clause that puts the limitations into the contract. Its presence means the rule applies and the CO can enforce it.

### Cost of Materials

Excluded from the supplies and construction calculations. Materials are not counted as subcontracting, so a manufacturer buying components does not violate the rule by buying them.

### Presumption of Loss

The statutory rule that when a company misrepresents its size or status, the government's loss is presumed to equal the full value of the contract, which sets the measure for False Claims Act damages.

### Pass-Through

The general FAR concept, covered in the Business module, that a prime should add value to subcontracted work. Limitations on subcontracting is the set-aside-specific version of the same concern.

## Knowledge Check

On a services set-aside, the prime may not pay subcontractors (other than similarly situated entities) more than what share of the amount the government pays?

A. 25%

✓ B. 50%

C. 70%

D. 85%

### WHY

The services limit is 50% of the amount paid by the government.

The government pays a prime \$10M. The prime paid \$4.2M to a large sub and \$1.5M to a similarly situated small sub. What is the compliance ratio?

A. 57%

✓ B. 42%

C. 15%

D. 10%

### WHY

Only payments to non-similarly-situated entities count:  $\$4.2M \div \$10M = 42\%$ , under the 50% limit.

What makes a subcontractor a "similarly situated entity"?

A. Any small business

✓ B. Small under the subcontract's NAICS and holding the same socioeconomic status as the prime's set-aside

C. Any company with an SBA certification

D. A sub that has worked with the prime before

### WHY

The status must match the set-aside. An 8(a) sub on an SDVOSB set-aside is not similarly situated unless it is also SDVOSB.

**The limitations on subcontracting test for services is measured in:**

A. Hours worked

✓ **B. Dollars paid, relative to the amount the government pays the prime**

C. Number of employees

D. Number of subcontracts

**WHY**

It is a dollar test on amount paid. Hours are not the measure.

**When is compliance measured?**

A. At proposal submission

✓ **B. By the end of the base period and each option period, unless the CO specifies the end of the contract**

C. Monthly

D. Only if protested

**WHY**

The clause sets period-end measurement. Primes should track monthly and project to period end.

**A \$10M contract has \$6M of services and \$4M of supplies. Which limitation applies?**

A. Services rule to the \$6M and supplies rule to the \$4M

✓ **B. The services rule to the whole \$10M, because services are the greatest share**

C. The supplies rule to the whole contract

D. Neither; mixed contracts are exempt

**WHY**

On mixed contracts, the rule for the category with the greatest percentage of value applies to the whole contract.



**Under the nonmanufacturer rule, a small dealer on a supply set-aside must (absent a waiver):**

A. Manufacture the item

**✓ B. Supply the product of a small U.S. manufacturer, take ownership of it, and have 500 or fewer employees**

C. Have a subcontracting plan

D. Be 8(a) certified

#### WHY

The nonmanufacturer rule allows dealers to compete on supply set-asides only if the product comes from a small U.S. manufacturer, or SBA grants a waiver before award.

**A similarly situated sub performs 40% of the work but subcontracts most of it to a large firm. How does this affect the prime?**

A. No effect; the sub is similarly situated

**✓ B. The work passed to the large firm does not count toward the prime's share; the rule reaches through**

C. The prime becomes large

D. The contract is void

#### WHY

The similarly situated relief applies only to work the similarly situated entity actually performs.

**What is the statutory penalty for a willful violation of the limitations on subcontracting?**

A. A written warning

**✓ B. The greater of \$500,000 or the amount subcontracted beyond the limit, plus False Claims Act exposure**

C. Loss of SAM registration for one year

D. 10% of contract value

#### WHY

Statute sets the specific penalty, and because the award is a certification, a knowing violation is also a false claim with presumption-of-loss damages.

**Match the contract type to the share the prime must perform:****CORRECT MATCHES**

|                               |                                           |
|-------------------------------|-------------------------------------------|
| Services                      | At least 50% of amount paid               |
| Supplies (prime manufactures) | At least 50%, excluding cost of materials |
| General construction          | At least 15%, excluding cost of materials |
| Special trade construction    | At least 25%, excluding cost of materials |

**WHY**

Services and manufactured supplies: at least 50%. General construction: at least 15%. Special trade construction: at least 25%.

**Order the steps of the monthly compliance check:****CORRECT ORDER**

1. Record amount paid by the government this period
2. Record payments to subs, split similarly situated vs. not
3. Compute the ratio to date
4. Project the ratio to period end
5. Act if the projection exceeds the limit

**WHY**

Record what the government paid, record subcontractor payments split by similarly situated status, compute the ratio, project to period end, then act if the projection exceeds the limit.

**A prime argues it performed 52% of the hours on a services set-aside, but the large sub was paid 56% of the amount the government paid. Is the prime compliant?**

A. Yes, hours control

**✓ B. No; the test is dollars paid and the prime is over the 50% limit**

C. Yes, if the CO agrees

D. Only if the sub is small

**WHY**

Hours are not the test. The dollar ratio to a non-similarly-situated sub exceeds 50%.

## SMALL BUSINESS IN DEFENSE CONTRACTING · LESSON 4

# Affiliation: The Rule That Quietly Makes You Large

24 min

*Why the SBA adds other companies' receipts and employees to yours. Control through ownership, management, family, contracts, and the ostensible subcontractor rule; the exceptions that let mentors and investors in; and how size protests turn an affiliation theory into a lost award.*

## The Question Behind Every Size Determination

The Size Standards lesson explained how size is measured. This lesson explains the rule that decides whose size gets measured. Affiliation is the SBA's answer to a simple problem: if size were measured company by company, a large business could split into a dozen small ones on paper and take every set-aside in sight. So the SBA looks past the corporate boundaries to control. If one company controls another, or a third party controls both, they are affiliated, and their receipts and employees are added together. A company with \$10M in receipts and an affiliate with \$60M is a \$70M company for size purposes. Most companies that lose set-aside awards on size grounds did not lie about their own numbers. They did not realize that someone else's numbers counted.

## Control Is the Test, and Control Has Many Sources

Affiliation exists when one party controls or has the power to control another, or when a third party controls both. It does not matter whether the power is used. The obvious source is ownership: a company that owns more than 50% of another controls it. But SBA also finds control in a minority owner who is the largest single holder when the rest is widely dispersed, in a board majority, in a management agreement that lets one company run another, in a contract that makes one company economically dependent on another, and in family relationships. The list below is not exhaustive, and SBA can find affiliation from the totality of the circumstances even when no single factor would do it alone.

## Common Sources of Affiliation

| BASIS                    | EXAMPLE                                                                                        | WHAT SBA LOOKS AT                                                      |
|--------------------------|------------------------------------------------------------------------------------------------|------------------------------------------------------------------------|
| Ownership                | Company A owns 51% of Company B                                                                | Voting power; also large minority stakes when other holdings are small |
| Negative control         | A 30% investor can veto budgets, hiring, and contracts                                         | Whether the minority holder can block ordinary decisions               |
| Common management        | The same CEO or board majority runs two companies                                              | Officers, directors, managing members, key employees                   |
| Identity of interest     | Two brothers each own a company in the same market                                             | Family relationships plus business ties; rebuttable                    |
| Economic dependence      | Company B gets 70% or more of its revenue from Company A                                       | Whether B could survive without A; presumed at high concentration      |
| Newly organized concern  | Former VP of a large firm starts a small firm that the large firm finances and subcontracts to | Who founded it, who funds it, who sends it work                        |
| Ostensible subcontractor | Small prime; large sub does the primary and vital work                                         | Who performs, who staffs, who the customer relies on                   |
| Joint venture            | Two firms bid as a JV                                                                          | JV partners are affiliated for that award unless an exception applies  |

## The Ostensible Subcontractor Rule

This is the affiliation rule PMs and capture teams hit most often, because it is about how a team is built. When a small prime relies on a subcontractor to perform the primary and vital requirements of the contract, or is unusually reliant on that sub, SBA treats the two as joint venturers, and joint venturers are affiliated. The small prime is then measured with the sub's size added, and if the sub is large, the prime is large, and the award is lost. SBA looks at facts, not the org chart: which company's employees do the core work, which company's managers supervise them, whether the sub is the incumbent and the prime is new, whether the prime's key staff came from the sub, who wrote the proposal, and who the customer will actually deal with. The Limitations on Subcontracting lesson explained the 50% dollar test; a team can pass that test and still fail this one, because this one asks who is really the contractor.

**REAL TALK**

The ostensible subcontractor cases almost always involve a large incumbent that lost its contract to a set-aside and found a small partner so it could keep the work. The small firm primes, the large firm keeps its people on the job, and everyone tells themselves the paperwork is fine. A competitor protests, SBA asks who actually runs the program, and the award is unwound. If the true answer to "who is performing this contract" is the sub, the structure does not work.

## The Exceptions That Let Help In

Affiliation would make it impossible for small businesses to accept investment or mentorship if there were no exceptions. There are several, and each has conditions.

- **SBA mentor-protégé agreements** A mentor is not affiliated with its protégé by reason of the approved agreement or the assistance provided under it, and a mentor-protégé JV can be small. The next lesson covers the program.
- **Venture capital, SBIC, and certain investors** Investments by qualifying small business investment companies and, for some programs and NAICS codes, venture capital operating companies do not create affiliation.
- **Franchise and license agreements** Not affiliation if the franchisor does not control the franchisee beyond protecting the brand.
- **Indian tribes, ANCs, NHOs, and CDCs** Entity-owned firms have specific rules that limit affiliation with their parent and sister companies.
- **Ordinary lending and leases** A bank loan or a commercial lease does not create affiliation, even with financial covenants, so long as the lender does not control the business.

One sentence to teach your team: **the SBA measures everyone who controls you or whom you control as if they were you, so a small company with a large owner, a large partner doing the real work, or a large customer it cannot live without may not be small at all.**

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**INTERMEDIATE**

## Size Protests: How the Question Gets Asked

After a set-aside award, any offeror not eliminated for other reasons, the CO, or SBA can protest the awardee's size. The protest is filed with the CO within five business days after notification of the apparent successful offeror and must state specific grounds; "we think they are large" is dismissed as non-specific. The CO forwards it to the SBA area office, which asks the awardee for SBA Form 355 and documents. The awardee has a few business days to respond. SBA issues a formal size determination, usually within 15

business days, and either party can appeal to OHA. If the awardee is found large, the CO generally cannot make the award (or must terminate it if already made), and the awardee cannot self-certify as small under that NAICS again until SBA recertifies it. For a losing offeror, a well-grounded size protest is the cheapest and most effective post-award remedy in government contracting. For an awardee, it is the reason the size file from the first lesson exists.

## Negative Control: The Investor Problem

Companies raising money often give investors protective provisions: consent rights over budgets, debt, hiring officers, changing the business. SBA reads those as negative control if they let the investor block ordinary business decisions, and negative control is affiliation. The result is that a small firm with a large corporate investor holding a 25% stake and a list of veto rights may be affiliated with that investor. The line SBA has drawn: veto rights over extraordinary actions (selling the company, amending the charter, issuing new stock, taking on debt above a threshold) are acceptable; veto rights over ordinary operations (budgets, hiring, entering contracts) are control. Companies planning to raise capital and keep small status get the term sheet reviewed against SBA case law before signing it.

## Economic Dependence: The 70% Presumption

| SHARE OF REVENUE FROM ONE COMPANY            | SBA TREATMENT                                                      | WHAT REBUTS IT                                                                                                                           |
|----------------------------------------------|--------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|
| Under about 70%                              | Not presumed affiliated on dependence alone                        | n/a                                                                                                                                      |
| 70% or more over a sustained period          | Presumed affiliated through economic dependence                    | Evidence the firm is newly started and building a base, or that the relationship is arm's-length and the firm could replace the customer |
| Nearly 100%, with shared staff or management | Affiliation very likely, possibly ostensible subcontractor as well | Little rebuts it                                                                                                                         |

## Family and Identity of Interest

Companies owned by close family members (spouses, parents, children, siblings) are presumed affiliated if they have business ties, and the presumption is hard to rebut without showing the businesses are genuinely separate: different markets, no shared resources, no financial support, no common customers. A husband's large firm and a wife's small firm in the same market, sharing an office, is affiliation. The same presumption applies to companies with substantially identical business interests even without family ties, for example two firms with the same three owners in the same proportions.

**ADVANCED****Building a Team That Survives an Ostensible Subcontractor Protest**

SBA and OHA decisions have identified the factors that matter, and senior leaders design teams against them. The prime's own employees should perform the primary and vital work, defined by what the solicitation is really buying; if it is buying engineering, the prime's engineers must do the engineering. The prime should manage the contract with its own managers, not managers borrowed from the sub. The prime should not be a new entity whose key personnel just left the sub. The sub should not be the incumbent with the prime added as a front. The prime should have relevant experience of its own, and the proposal should have been written by the prime. Workshare percentages help but do not decide; SBA has found ostensible subcontracting at 40% sub share when the sub did the core work, and rejected it at higher shares when the prime clearly ran the program.

**Affiliation and the Acquisition Decision**

The Business module described the set-aside cliff. Affiliation is the mechanism. When a large company buys a small one, the small one is affiliated with its new parent from the closing date, and its size includes the parent's. Recertification is required within 30 days, and the company can no longer certify as small on new offers. The same happens with a minority investment that carries negative control, a management agreement that hands operations to a large partner, or a "strategic alliance" that makes the small firm economically dependent. Senior leaders on both sides of a transaction model the affiliation consequences before signing, because a deal structured to "keep the company small" that actually creates affiliation exposes both parties to false certification claims.

**Anatomy of a Size Protest, Step by Step**

For a company on either side.

**Day 0: Notification of apparent successful offeror** **TRIGGER**

The five-business-day protest clock starts for other offerors.

Losing offerors should already have researched the awardee's ownership, teaming, and revenue concentration before this date.

**Day 5: Protest filed with the CO** **FILING**

Must be specific: name the affiliate, the basis, the evidence.

The CO forwards it to the SBA area office with the awardee's offer and size representation.

**Days 6 to 10: Awardee responds** **RESPONSE**

SBA Form 355, tax returns, ownership records, agreements, and a written response to each allegation.

Failure to respond fully allows SBA to draw an adverse inference. This is where the size file pays for itself.

**About day 20: Size determination issued** **RULING**

Small or other than small, with reasoning.

If other than small, the CO cannot award, and the firm must recertify before self-certifying again under that NAICS.

**Within 15 days: Appeal to OHA** **APPEAL**

Either side may appeal on the record.

OHA reviews for clear error. New evidence is rarely allowed, which is another reason to get the response right the first time.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

They map every relationship that could be read as control: owners, investors, family, key customers, mentors, and subs. They review term sheets and teaming agreements against SBA affiliation rules before signing. They build teams where the prime visibly performs the primary and vital work. And when they lose a set-aside to a suspicious team, they file a specific, well-grounded size protest within five days, because it is the most effective remedy they have.

**BUILD ON THIS**

- **Size Standards and NAICS** What gets measured once affiliation is settled
- **Mentor-Protégé and Joint Ventures** The main exception to affiliation
- **Prime vs. Sub Economics** The team structures that get scrutinized



## Key Terms

### Affiliation

The SBA principle (13 CFR 121.103) that companies which control, are controlled by, or are under common control with each other are treated as one for size purposes. Their receipts and employees are combined.

### Control

The power to direct a company's management and policies, whether exercised or not. Can arise from ownership, board composition, management agreements, contracts, or economic dependence.

### Negative Control

The ability to block ordinary business decisions, for example through supermajority voting requirements or veto rights held by a minority owner. Negative control creates affiliation just as positive control does.

### Identity of Interest

Affiliation presumed between close family members with business interests, and between companies with substantially identical business or economic interests, unless the presumption is rebutted.

### Ostensible Subcontractor

A subcontractor that performs the primary and vital requirements of a contract, or on which the prime is unusually reliant. The prime and sub are treated as joint venturers and therefore affiliated for that award.

### Newly Organized Concern

A company formed by former officers, directors, or key employees of another company, in the same line of business, that is furnished contracts, financing, or assistance by the old company. Presumed affiliated.

### Totality of the Circumstances

SBA can find affiliation even when no single factor is decisive, based on the combined effect of ownership, management, contracts, and dependence.

### Size Protest

A challenge to an awardee's size filed with the CO, who forwards it to the SBA area office for a formal size determination. Must be filed within five business days after notification of the apparent successful offeror.

### Size Determination

SBA's formal ruling on whether a company was small as of the relevant date. Appealable to the Office of Hearings and Appeals.

### Franchise and Investor Exceptions

Specific relationships SBA does not treat as affiliation, including SBA-approved mentor-protégé arrangements, certain venture capital and SBIC investments, and franchise agreements that do not give the franchisor control.

## Knowledge Check

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A company has \$10M in receipts. A company that owns 60% of it has \$60M in receipts. For size purposes, the first company's receipts are:

A. \$10M

B. \$60M

✓ C. \$70M

D. \$35M

### WHY

Affiliates' receipts are combined. Majority ownership is control, so the two are affiliated and measured together.

Does affiliation require that control actually be exercised?

A. Yes

✓ B. No; the power to control is enough

C. Only for family relationships

D. Only above 50% ownership

### WHY

SBA looks at the power to control, whether or not it is used.

A 25% investor holds veto rights over the company's annual budget and hiring of officers. How does SBA likely view this?

A. No affiliation; 25% is a minority

✓ B. Negative control, which creates affiliation

C. Affiliation only if the investor is large

D. Affiliation only if the investor is on the board

### WHY

Veto rights over ordinary business decisions are negative control. Rights limited to extraordinary actions generally are not.

**What is an "ostensible subcontractor"?**

A. Any subcontractor over 50%

✓ **B. A sub that performs the primary and vital requirements or on which the prime is unusually reliant, making the two affiliated for the award**

C. A sub without a SAM registration

D. A sub that is also a mentor

**WHY**

The prime and ostensible sub are treated as joint venturers and therefore affiliated. If the sub is large, the prime is large for that award.

**Within how many business days after notification of the apparent successful offeror must a size protest be filed?**

A. 1

✓ **B. 5**

C. 10

D. 30

**WHY**

Five business days, with specific grounds, filed with the contracting officer.

**A company receives 80% of its revenue from one large customer over several years. What is SBA's likely starting position?**

A. No affiliation; customers are never affiliates

✓ **B. Presumed affiliation through economic dependence, rebuttable with evidence**

C. Automatic debarment

D. Affiliation only if the customer owns shares

**WHY**

Sustained revenue concentration around 70% or more creates a presumption of economic dependence.

**Which relationship does NOT create affiliation?**

✓ **A. An SBA-approved mentor-protégé agreement**

B. A 51% owner

C. Common CEO of two companies

D. A large sub performing the primary and vital work

**WHY**

Approved mentor-protégé relationships are a specific exception. The others are classic sources of affiliation.

**A former vice president of a large firm founds a small company in the same line of business; the large firm provides financing and its first subcontract. What rule applies?**

✓ **A. Newly organized concern: presumed affiliated**

B. No affiliation; different companies

C. Franchise exception

D. Identity of interest by family

**WHY**

The newly organized concern rule presumes affiliation when former key people start a firm that the old firm funds and feeds.

**What happens if SBA determines an awardee was other than small?**

A. The award stands but goal credit is lost

✓ **B. The CO generally cannot award (or must terminate), and the firm cannot self-certify under that NAICS until recertified**

C. The firm pays a fine and keeps the contract

D. Nothing until OHA rules

**WHY**

An adverse size determination removes eligibility for the award and bars further self-certification under that NAICS pending recertification.

**Match the fact pattern to the affiliation basis:****CORRECT MATCHES**

|                                                                  |                          |
|------------------------------------------------------------------|--------------------------|
| Minority investor can veto budgets                               | Negative control         |
| Siblings own firms in the same market with shared office         | Identity of interest     |
| Large sub performs the core engineering on a small prime's award | Ostensible subcontractor |
| Former VP starts a firm the old employer finances                | Newly organized concern  |

**WHY**

Veto rights are negative control; family in the same market is identity of interest; a sub doing the core work is ostensible subcontractor; a spun-off firm funded by its origin is a newly organized concern.

**Order the steps of a size protest:****CORRECT ORDER**

1. CO notifies offerors of the apparent successful offeror
2. Protest filed with the CO within five business days
3. Awardee submits SBA Form 355 and documents
4. SBA area office issues a size determination
5. Appeal to OHA within 15 days

**WHY**

Notification starts the clock, the protest is filed with the CO within five business days, the awardee responds to SBA, SBA issues a determination, and either party may appeal to OHA.

**Which team design factor most reduces ostensible subcontractor risk?**

- A. A workshare percentage in the teaming agreement
- ✓ **B. The prime's own employees and managers performing and supervising the primary and vital work**
- C. Naming the sub in the proposal
- D. Using a large sub with strong past performance

**WHY**

SBA decides on who actually performs and manages the core work. Percentages help but do not decide.

## SMALL BUSINESS IN DEFENSE CONTRACTING · LESSON 5

# Mentor-Protégé and Joint Ventures: Borrowing Size Without Losing It

25 min

*How a small business can team with a large one and stay small. The SBA mentor-protégé program, what a compliant joint venture agreement must contain, the protégé's workshare and management requirements, the two-year rule, and how DoD's separate mentor-protégé program differs. With the failure modes that turn a JV into an affiliation finding.*

## The Legal Way to Borrow a Large Company's Strength

The Affiliation lesson established the problem: a small business that leans on a large partner risks being treated as one company with it, and losing small status. The mentor-protégé program is the government's deliberate exception. It says: we want small firms to learn from experienced ones, so if the relationship is approved by SBA and structured the way we specify, the two are not affiliated, and they can even bid together as a small business through a joint venture. For the protégé it is access to capability, capital, and past performance. For the mentor it is access to set-aside work it cannot win alone. For the government it is a small firm that becomes a stronger contractor. When it works, everyone gets what they wanted. When it is used as a disguise, it unravels.

## The SBA Mentor-Protégé Program in Plain Terms

A protégé must be a small business under its primary NAICS or the NAICS it seeks assistance in. A mentor can be any size, must be financially healthy, and must be able to provide the assistance it promises. The two sign a mentor-protégé agreement describing that assistance: management guidance, technical help, financial support, contracting advice, teaming. SBA reviews and approves it. The initial term is up to three years and can be renewed once, for six years total. A mentor can have up to three protégés at a time; a protégé can have up to two mentors, in different NAICS codes. SBA reviews the relationship annually and can terminate it if the mentor is not delivering.

## What the Approved Relationship Allows

| BENEFIT                                       | WITHOUT APPROVAL                                        | WITH SBA-APPROVED MPA                                                                                 |
|-----------------------------------------------|---------------------------------------------------------|-------------------------------------------------------------------------------------------------------|
| Mentor invests in protégé                     | Risk of affiliation through ownership or control        | Mentor may own up to 40% of the protégé without affiliation                                           |
| Mentor subcontracts to protégé, or vice versa | Risk of economic dependence or ostensible subcontractor | Assistance under the agreement does not create affiliation                                            |
| Bid together on set-asides                    | JV members affiliated; JV is large if either is         | Mentor-protégé JV qualifies as small if the protégé is, for any set-aside the protégé is eligible for |
| Past performance                              | Protégé judged on its own thin record                   | Agencies must consider each member's past performance in evaluating the JV                            |

## The Joint Venture: Where the Rules Get Specific

A JV is a separate legal entity, often an LLC, formed to pursue and perform contracts. It has a JV agreement, its own SAM registration, and for set-asides, a very specific set of required terms. The protégé must be the managing venturer. The protégé must employ the project manager responsible for the contract. The protégé must perform at least 40% of the work the JV performs. Profits must be split in proportion to work performed. The JV must be unpopulated, meaning the members perform with their own employees rather than the JV hiring a staff (administrative staff are allowed). Records must be kept and an annual certificate of compliance filed. Miss any of these and the JV is not eligible as small, regardless of the approved mentor-protégé agreement behind it.

## What a Compliant Set-Aside JV Agreement Must Include

SBA lists the required provisions. Each one has been the reason a JV lost an award.

- **Purpose** Stating the JV is formed to pursue the specific contract(s) named.
- **Managing venturer** Naming the protégé (or the small member, in a small-small JV) as managing venturer, with the project manager as its employee.
- **Ownership and profit split** Protégé holds at least 51% of the JV; profits are distributed in proportion to work performed.
- **Bank account** A JV account requiring signatures or approval of all members.
- **Equipment, facilities, and resources** What each member contributes.
- **Workshare** How the 40% protégé performance requirement will be met, with the responsibilities of each member.
- **Records and reporting** Where records are kept, access for SBA, and the annual compliance certification.

- **Contract obligations** A statement that each member is responsible for completing performance despite the withdrawal of any member.

#### REAL TALK

The 40% is the number everyone remembers, and it is the one that fails last. The JVs that get unwound usually fail earlier: the mentor's employee is the project manager, the mentor wrote the proposal and runs the customer relationship, the profit split is 50/50 regardless of work, or the JV agreement was signed after the proposal went in. SBA reads the agreement and then reads the program. If the protégé is not visibly managing, the paper does not save it.

## The Two-Year Rule

A JV is meant to be a limited-purpose vehicle, not a permanent company. SBA allows a JV to receive new contract awards for two years from the date of its first award. After that, the same two firms can form a new JV, but the old one cannot receive new awards without the members being treated as affiliated. Awards received within the window continue to be performed. Firms that plan to team long-term structure a sequence of JVs rather than one perpetual entity, and they track the two-year date from the first award, not from formation.

One sentence to teach your team: **an SBA-approved mentor-protégé agreement lets a small firm and a large one team without affiliation, but the joint venture is small only if the protégé really manages it, employs the project manager, and does at least 40% of the work.**

#### INTERMEDIATE

## SBA vs. DoD Mentor-Protégé: Two Programs, Often Confused

DoD runs its own mentor-protégé program, older than SBA's all-small program, in which DoD reimburses mentors (or gives them subcontracting credit) for developmental assistance to eligible protégés. It is valuable, but it does something different. A DoD MPP agreement does not by itself exempt the pair from SBA affiliation rules and does not let them form a JV that competes as small. Only an SBA-approved agreement does that. Many firms hold both: the DoD agreement funds the assistance, the SBA agreement provides the affiliation protection and JV eligibility. Firms that have only the DoD agreement and bid as a JV on a set-aside are exposed to a size protest they will lose.



## SBA All-Small MPP vs. DoD MPP

| FEATURE                 | SBA PROGRAM                                                                | DOD PROGRAM                                                               |
|-------------------------|----------------------------------------------------------------------------|---------------------------------------------------------------------------|
| Purpose                 | Business development; affiliation exemption; JV eligibility for set-asides | Developmental assistance funded by DoD; subcontracting credit for mentors |
| Who approves            | SBA                                                                        | DoD Office of Small Business Programs                                     |
| Affiliation exemption   | Yes, for assistance under the approved agreement                           | No (must also have SBA approval)                                          |
| JV can compete as small | Yes, if requirements met                                                   | Not on its own                                                            |
| Mentor benefit          | Access to set-aside work through JV; may own up to 40% of protégé          | Reimbursement or credit for assistance costs                              |
| Term                    | Up to 3 years, renewable once                                              | Typically up to 3 years, extendable                                       |

## Past Performance: The Protégé's Real Reason to JV

Small firms lose competitions on past performance more than on anything else. In a mentor-protégé JV, regulation requires the agency to consider the past performance and experience of each member when evaluating the JV, and prohibits requiring the protégé to individually meet past performance thresholds the JV meets collectively. That means a protégé with two small contracts and a mentor with twenty relevant ones presents as a strong offeror. Capture teams should cite the mentor's relevant contracts explicitly and explain how that experience will be applied through the mentor's role in the JV, because evaluators still need to see the connection.

## Small-Small JVs

Two small businesses can form a JV without a mentor-protégé agreement. The JV is small if the combined receipts or employees of the members fit under the size standard (each member must be small individually, and together they must be under the standard for the NAICS). For socioeconomic set-asides, the member with the status must be the managing venturer and meet the same 40% and project-manager rules. Small-small JVs are common for firms that individually lack the scale or past performance for a larger contract, and they carry the same two-year limit.

### ADVANCED

## Designing the Mentor-Protégé Relationship for the Exit

The relationship ends in at most six years, and the JV window is two years per JV. Senior leaders on the protégé side design toward the day the mentor is gone: the protégé's own staff learning the mentor's

methods, the protégé holding the customer relationships in its own name, past performance accruing to the protégé through its 40% share and its management role, and a plan to prime the recompile alone. Mentors that are serious about the program build this into the agreement. Mentors that are using the program as a set-aside access vehicle resist it, which is itself a signal. The government-side evaluation of "how is the mentor helping the protégé grow" is not a formality; SBA can terminate an agreement, and remove the exemption, when the assistance is nominal.

## Where JVs Fail SBA Review

SBA and OHA decisions on JV eligibility cluster around a few defects. The JV agreement was not executed before the offer, or did not name the specific contract. The project manager was the mentor's employee or a new hire not yet employed by the protégé. The protégé held 51% ownership but the operating agreement gave the mentor control of decisions. The profit split did not track work performed. The JV was populated with employees, making it a company rather than a vehicle. The workshare plan did not explain how the protégé would reach 40%. Several of these are drafting errors that a careful review fixes in an afternoon. The rest are structural: the mentor was really in charge. No drafting fixes that.

## JV Compliance During Performance

Eligibility is checked at offer, but compliance continues for the life of the contract.

### Track protégé workshare monthly WORKSHARE

Labor dollars by member against the 40% requirement and the limitations on subcontracting.

Same monthly discipline as the Limitations on Subcontracting lesson. Both tests apply to a set-aside JV.

### Keep the project manager a protégé employee MANAGEMENT

If the PM leaves, the replacement must also be a protégé employee.

Backfilling with a mentor employee, even temporarily, is a common and avoidable violation.

### File the annual certificate REPORTING

Certification to SBA and the CO that the JV agreement was followed, with the workshare numbers.

A missed certification invites exactly the review the JV does not want.

### Watch the two-year window TIMING

No new awards to the JV after two years from the first award.

Form the next JV before the window closes if the team intends to keep bidding.

### Recertify on events STATUS

If the protégé grows large, the JV recertifies as large; if the MPA ends, the JV's exemption ends for new awards.

The MPA end date and the JV two-year date should both be on the same calendar.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

They get SBA approval before bidding, not after. They draft the JV agreement to SBA's checklist and date it before the offer. They make the protégé's management real: its project manager, its customer relationship, its decisions. They track the 40% monthly. And they design the whole relationship toward the protégé competing alone, because that is what the program is for and what SBA looks for.

**BUILD ON THIS**

- **Affiliation** The rule the mentor-protégé program is an exception to
- **Limitations on Subcontracting** The second test every set-aside JV must meet
- **Prime vs. Sub Economics** How JVs change who earns what

## Key Terms

### **SBA Mentor-Protégé Program (MPP)**

An SBA program in which an experienced firm (mentor, any size) agrees to assist a small business (protégé). The approved relationship is exempt from affiliation, and mentor-protégé joint ventures can compete as small.

### **Mentor-Protégé Agreement**

The written, SBA-approved agreement describing the assistance the mentor will provide. Initial term up to three years, renewable once for a total of six.

### **Joint Venture (JV)**

A separate entity formed by two or more firms to bid and perform specific contracts. A JV of two small firms is small if the combined size fits; a mentor-protégé JV is small if the protégé is.

### **Managing Venturer**

The JV member responsible for managing the JV. In a mentor-protégé JV pursuing set-asides, the protégé must be the managing venturer and must employ the project manager.

### **Protégé Workshare**

The protégé must perform at least 40% of the work the JV performs, and the JV as a whole must meet the limitations on subcontracting.

### **Two-Year Rule**

A JV may receive awards for up to two years from the date of its first award; after that it cannot receive new awards without being treated as affiliated, though existing contracts continue.

### **Populated vs. Unpopulated JV**

An unpopulated JV has no employees of its own; the members perform with their staff. Set-aside JVs must generally be unpopulated (or populated only with administrative staff).

### **DoD Mentor-Protégé Program**

A separate DoD program that reimburses or credits mentors for developmental assistance to protégés. It does not by itself create an affiliation exemption; that comes only from SBA approval.

### **Past Performance of a JV**

Agencies must consider the past performance of each JV member, and of the JV itself if it has any, when evaluating a JV's past performance. The protégé cannot be required to have past performance the JV as a whole lacks.

### **Certificate of Compliance**

Annual reporting the JV and its members must provide to SBA and the CO showing the JV agreement was followed, including workshare, during performance.

## Knowledge Check

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What is the main legal effect of an SBA-approved mentor-protégé agreement?

A. The protégé becomes 8(a) certified

✓ **B. Assistance under the agreement does not create affiliation, and a mentor-protégé JV can compete as small**

C. The mentor receives sole-source awards

D. The protégé is exempt from limitations on subcontracting

### WHY

The approved relationship is an affiliation exception and enables a JV that qualifies as small if the protégé does.

In a mentor-protégé JV pursuing a set-aside, who must be the managing venturer and employ the project manager?

A. The mentor

✓ **B. The protégé**

C. Either, by agreement

D. A third-party manager

### WHY

The protégé must manage the JV and the project manager must be its employee.

What minimum share of the JV's work must the protégé perform?

A. 20%

✓ **B. 40%**

C. 51%

D. 60%

### WHY

At least 40% of the work the JV performs, and the JV as a whole must also meet limitations on subcontracting.

**How long may a JV receive new awards?**

A. Indefinitely

✓ B. Two years from its first award

C. Five years from formation

D. One year

**WHY**

The two-year rule limits new awards to the JV. Existing contracts continue; a new JV can be formed for further pursuits.

**A mentor may own up to what share of its protégé without creating affiliation?**

A. 10%

B. 25%

✓ C. 40%

D. 49%

**WHY**

Under an approved agreement the mentor may hold up to 40% equity in the protégé.

**A firm has a DoD mentor-protégé agreement but no SBA-approved agreement. It forms a JV with its DoD mentor and bids on a small business set-aside. What is the risk?**

A. None; DoD approval is equivalent

✓ B. The JV members are affiliated because only SBA approval provides the exemption; a size protest would likely succeed

C. The JV must be populated

D. The protégé loses its DoD reimbursement

**WHY**

The DoD program funds assistance; it does not confer the affiliation exemption. That requires SBA approval.

**How must profits be distributed in a set-aside JV?**

- A. 50/50
- B. In proportion to ownership only

**✓ C. In proportion to the work each member performs**

- D. To the mentor first

**WHY**

SBA requires profit distribution commensurate with work performed.

**When evaluating a mentor-protégé JV's past performance, the agency must:**

- A. Consider only the JV's own record

**✓ B. Consider the past performance of each member, and not require the protégé alone to meet thresholds the JV meets collectively**

- C. Consider only the protégé's record
- D. Ignore past performance

**WHY**

Regulation requires consideration of each member's experience and bars holding the protégé individually to the JV's standard.

**Which defect most commonly makes a JV ineligible even when the mentor-protégé agreement is approved?**

- A. The JV has a bank account

**✓ B. The mentor's employee serves as project manager or the mentor actually controls the JV**

- C. The protégé owns 51%
- D. The JV agreement names the contract

**WHY**

Control by the mentor, on paper or in practice, defeats the JV's small status regardless of the approved MPA.

**Match the requirement to the program element:****CORRECT MATCHES**

|                               |                                                       |
|-------------------------------|-------------------------------------------------------|
| Mentor-protégé agreement term | Up to 3 years, renewable once (6 total)               |
| JV new-award window           | Two years from first award                            |
| Protégé workshare in JV       | At least 40% of the JV's work                         |
| Set-aside JV staffing         | Unpopulated; members perform with their own employees |

**WHY**

The MPA is approved by SBA for up to six years; the JV must be unpopulated, protégé-managed, with 40% protégé workshare, and may receive awards for two years.

**Order the steps to bid a set-aside as a mentor-protégé JV:****CORRECT ORDER**

1. Obtain SBA approval of the mentor-protégé agreement
2. Form the JV entity and execute a JV agreement with all required provisions
3. Register the JV in SAM and certify status
4. Submit the offer naming the JV as offeror

**WHY**

SBA approval of the MPA comes first, then the JV entity and agreement with required terms, then registration, then the offer.

**Why should a protégé design the relationship "toward the exit"?**

A. Because SBA requires the protégé to buy out the mentor

✓ **B. Because the MPA ends within six years and the protégé must be able to prime alone, with its own staff, customers, and past performance**

C. Because mentors cannot renew

D. Because the JV must dissolve after one contract

**WHY**

The program's purpose is protégé development. The relationship is temporary, and SBA can terminate agreements where assistance is nominal.



## SMALL BUSINESS IN DEFENSE CONTRACTING · LESSON 6

# Subcontracting Plans: What Large Primes Owe Small Business

22 min

*The obligation on the other side of the table. When a large prime must submit a small business subcontracting plan, what goes in it, how it is reported and graded, what happens when goals are missed, and how a small business uses all of that to get into the prime's supply chain.*

## The Rule From the Other Side

Everything so far in this module has been about small businesses as primes. But most small business dollars in defense flow as subcontracts under large primes, and that flow is not voluntary. When a large company wins a contract above a threshold, it must submit a small business subcontracting plan with goals, report against those goals twice a year, and face consequences for not trying. This lesson explains that obligation, because a small business that understands it knows exactly why a large prime's door is open and how to walk through it. And a government PM who understands it knows what to ask the prime at every review.

## When a Plan Is Required

A subcontracting plan is required from any other-than-small offeror when the contract (including options) is expected to exceed \$750,000 (or \$1.5 million for construction) and there are subcontracting possibilities. The thresholds are adjusted for inflation periodically; verify the current figures. The plan is submitted with the proposal and must be acceptable before award; an offeror that refuses to submit one is ineligible. Small businesses are exempt from submitting plans, which is one of the practical advantages of small status.

## What Goes in a Subcontracting Plan

| ELEMENT                                                  | WHAT IT MEANS                                                                               | WHAT THE CO LOOKS FOR                                                                        |
|----------------------------------------------------------|---------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------|
| Goals by category                                        | Percentage of total subcontract dollars to small business, SDB, WOSB, HUBZone, VOSB, SDVOSB | Realistic and at or above agency expectations; supported by the prime's history              |
| Total dollars planned to be subcontracted                | The base the percentages apply to                                                           | Consistent with the proposal's make-or-buy plan                                              |
| Description of supplies and services to be subcontracted | What work is going out and to whom                                                          | Whether the categories with small business capability are actually going to small businesses |
| Method for developing goals and identifying sources      | How the prime found and will find small firms                                               | Use of SAM, SBA databases, outreach events                                                   |
| Flow-down and administration                             | Who runs the program (the SBLO), how subs are held to their own plans                       | A named, accountable person                                                                  |
| Reporting commitment                                     | ISR and SSR schedule in eSRS                                                                | Timely, accurate filing                                                                      |
| Good faith effort assurances                             | What the prime will do to try to meet goals                                                 | Specific actions, not boilerplate                                                            |

## Reporting: Twice a Year, Forever

Once the contract is awarded, the prime files an Individual Subcontract Report in eSRS every six months for the life of the contract, showing cumulative subcontract dollars against each goal, and an annual Summary Subcontract Report to the agency covering all its contracts there. The CO reviews the ISRs and can reject them. A prime that is far behind its goals with no explanation gets a conversation, then a letter, then a determination about good faith effort. These reports are also public in aggregate, and agencies score contractors on them; a prime's subcontracting record is considered in past performance evaluations on future competitions.

## Good Faith Effort and Liquidated Damages

The plan's goals are not quotas. A prime that misses a goal has not automatically violated anything. What the FAR requires is a good faith effort to meet the goals, and what it punishes is the absence of that effort. If the CO determines the prime did not make a good faith effort, the prime owes liquidated damages equal to the amount by which it fell short. On a \$200M contract with a 30% small business goal and \$40M actually awarded to small business, the shortfall is \$20M, and that is the potential damages figure. The determination is rare but real, and the threat of it is why large primes have SBLOs, outreach programs, and supplier diversity events.

**REAL TALK**

When a large prime's small business liaison calls you, it is not charity. The prime has a plan on file with goals it is being measured against, and it needs qualified small businesses in specific categories to hit them. A certified HUBZone or SDVOSB firm with relevant capability is solving the prime's problem. Walk in knowing that, and the conversation is between partners, not between a supplicant and a gatekeeper.

## How a Small Business Uses the Plan

- **Find the SBLO** Every large prime lists its small business liaison. That person's job is to find you. Make it easy.
- **Know which goal you fill** A prime behind on its SDVOSB goal needs SDVOSBs, not generic small businesses. Lead with the certification that matches the gap.
- **Check the prime's plan performance** Agencies publish scorecards and primes disclose their small business record in proposals. A prime that is chronically behind is motivated.
- **Register in the prime's supplier portal** Primes document outreach by pointing to their portals. Being in the portal is how you appear in their source lists.
- **Show up where they document outreach** Industry days, matchmaking events, and OSBP-sponsored sessions are where primes prove good faith effort. Attendance lists become source lists.

One sentence to teach your team: **a large prime above the threshold must file a plan with small business goals, report against it twice a year, and can owe the shortfall in damages if it does not try, which is why its supplier diversity office wants to hear from you.**

**INTERMEDIATE**

## Goals: How They Are Set and Negotiated

Goals are proposed by the offeror and negotiated with the CO before award. The CO compares them to the agency's own goals, the prime's history on similar work, and the capability of small businesses in the relevant industries. A prime proposing a 10% small business goal on a services contract where 40% of the work is readily subcontractable will be pushed higher. Goals can be expressed as a percentage of total subcontract dollars (the standard) or, in some agencies, as a percentage of total contract value, which is a much larger commitment. Read which base the solicitation uses. A 25% goal on subcontract dollars and a 25% goal on contract value are not the same number.

## The Subcontracting Plan as an Evaluation Factor

DoD and many agencies evaluate the extent of small business participation as part of source selection, separately from the plan's acceptability. Offerors are scored on the percentage of work committed to small business, the specificity of the commitments (named firms and scope, not just percentages), and their record on prior plans. This means a large prime with a strong small business team scores higher, and it is one of the reasons primes court capable small firms before RFP release. For a small business, a written commitment letter naming your scope on a prime's proposal is worth negotiating for; it is what the prime needs to score the factor.

## Plan Types and Who Uses Them

| PLAN TYPE                                            | COVERAGE                                              | TYPICAL USER                        | REPORTING                                    |
|------------------------------------------------------|-------------------------------------------------------|-------------------------------------|----------------------------------------------|
| Individual plan                                      | One contract, full term                               | Most large primes on most contracts | ISR per contract semi-annually; SSR annually |
| Master plan with individual goals                    | Company-wide boilerplate plus contract-specific goals | Primes with many contracts          | Same as individual                           |
| Commercial plan                                      | All subcontracting, company-wide, for one year        | Commercial product sellers          | One annual SSR                               |
| Comprehensive Subcontracting Plan (DoD test program) | All DoD contracts, company-wide                       | Largest defense contractors         | Company-level reporting to DCMA              |

## Flow-Down: Large Subs Have Plans Too

The plan requirement flows down. A large business subcontractor receiving a subcontract above the threshold with further subcontracting possibilities must submit its own subcontracting plan to the prime. So a small business can also enter at the second tier, through a large first-tier sub that has its own goals to meet. On large programs the second-tier opportunity is often bigger and less competitive than the first.

### ADVANCED

## Credit Rules: What Counts Toward the Goals

Primes get credit for first-tier subcontract awards to firms that represent small (or the relevant category) at the time of the subcontract award, based on the sub's SAM representation under the NAICS the prime assigns to the subcontract. Two consequences. The prime's NAICS assignment matters: assigning a code with a high size standard makes more subs count as small. And the sub's status is checked at subcontract award, so a sub that grows large during performance still counts for that subcontract (with recertification rules similar to prime contracts for long-term subcontracts). Newer rules also allow primes to receive credit

for lower-tier subcontracting under certain plans, which increases their interest in second-tier small business participation.

## Government PMs: What to Ask the Prime

A government PM is not the CO, but the PM sees the prime more often than anyone and can ask the questions that keep the plan honest. Which small businesses are performing, and on what scope? Are the ISRs current and does the PM's observation of who is on site match them? Has the prime replaced a small sub with its own staff after award, which is a common way plans quietly fail? Is the prime's SBLO involved in the program, or only at proposal time? These questions, raised at a program review, are what turn a paper plan into a real one, and the CO will appreciate the PM's input when the good faith determination is made.

## How Plans Fail

The patterns COs and DCMA small business specialists see.

### Goals without sources PLANNING

A 35% goal with no identified small firms for the scope.

Acceptable on paper, unreachable in practice. The ISRs show the gap by the second report.

### The post-award swap PERFORMANCE

Small firms named in the proposal are replaced by the prime's own staff or a large sub after award.

Where the participation was an evaluation factor, this can be a misrepresentation issue, not just a plan shortfall.

### Late or inaccurate ISRs REPORTING

Reports filed months late or counting subs that are not small.

Rejected ISRs are the first formal step toward a good faith effort determination.

### Wrong NAICS on subcontracts CREDIT

Subs counted as small under codes that do not describe their work.

Auditors check the NAICS assignment against the subcontract scope.

### No SBLO engagement EFFORT

The liaison signed the plan and disappeared.

Good faith effort is demonstrated by documented actions: outreach, source lists, bid solicitations to small firms. No record, no defense.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

On the small business side, they know which large primes are behind on which goals and target them. They negotiate written scope commitments on primes' proposals. On the prime side, they treat the plan as a program with sources identified before goals are proposed, and they keep the outreach record that proves good faith. On the government side, they ask at every review whether the small firms in the plan are the small firms on the floor.

**BUILD ON THIS**

- **Winning as a Small Business** Capability statements and getting into supply chains
- **Subcontractor Management** Managing the subs the plan promised
- **Prime vs. Sub Economics** The money side of being in a prime's plan

## Key Terms

### Subcontracting Plan

A plan required of other-than-small primes (FAR Subpart 19.7) on contracts above a dollar threshold with subcontracting possibilities, setting goals and describing how the prime will give small businesses the maximum practicable opportunity.

### Individual Subcontracting Plan

A plan covering one specific contract for its full term.

### Commercial Plan

A company-wide annual plan used by contractors selling commercial products, covering all their government and commercial subcontracting for the year.

### Comprehensive Subcontracting Plan (CSP)

A DoD test program allowing large defense contractors to submit one plan covering all their DoD work instead of a plan per contract.

### Goals

Percentages of total subcontract dollars the prime commits to award to small businesses and each socioeconomic category. Negotiated with the CO; not quotas, but commitments to good-faith effort.

### ISR and SSR

Individual Subcontract Report (semi-annual, per contract) and Summary Subcontract Report (annual, per agency), filed in eSRS to show progress against goals.

### eSRS

The Electronic Subcontracting Reporting System, where primes file ISRs and SSRs and where the government tracks plan performance.

### Good Faith Effort

The standard the prime is held to. Missing a goal is not a violation by itself; failing to make a good faith effort to meet it is, and can trigger liquidated damages.

### Liquidated Damages

Under FAR 52.219-16, if the prime fails to make a good faith effort to comply with its plan, it owes the government the dollar amount by which it fell short of the goals.

### Small Business Liaison Officer (SBLO)

The person at a large prime responsible for the subcontracting program. The small business's point of entry into the prime's supply chain.

## Knowledge Check

---

**Who must submit a small business subcontracting plan?**

A. All offerors

✓ **B. Other-than-small offerors on contracts above the threshold with subcontracting possibilities**

C. Small businesses only

D. Only 8(a) firms

**WHY**

Large businesses above the dollar threshold must submit plans. Small businesses are exempt.

**What is the standard subcontracting plan threshold (non-construction), subject to inflation adjustment?**

A. \$250,000

✓ **B. \$750,000**

C. \$1.5 million

D. \$10 million

**WHY**

\$750,000 for most contracts and \$1.5 million for construction, adjusted periodically; verify the current figure.

**How often is an Individual Subcontract Report filed?**

A. Monthly

✓ **B. Semi-annually, for the life of the contract**

C. Once at award

D. Annually

**WHY**

ISRs are filed every six months in eSRS; the Summary Subcontract Report is annual.



**A prime misses its small business goal. What determines whether it owes liquidated damages?**

A. Any miss triggers damages

✓ **B. Whether the CO determines the prime failed to make a good faith effort**

C. The size of the miss only

D. Whether the sub protested

**WHY**

Goals are commitments, not quotas. Damages follow a finding of no good faith effort, equal to the shortfall.

**A \$200M contract has a 30% small business goal on subcontract dollars of \$200M; the prime awarded \$40M to small firms and made no documented effort. What is the potential liquidated damages figure?**

A. \$40M

✓ **B. \$20M**

C. \$60M

D. \$200M

**WHY**

Goal \$60M minus actual \$40M = \$20M shortfall. (Illustrative; the base is total subcontract dollars in the plan.)

**Why does a large prime's small business liaison actively seek certified small firms?**

A. Corporate philanthropy

✓ **B. The prime has goals by category on file and is measured and evaluated on meeting them**

C. SBA requires quarterly meetings

D. To reduce the prime's indirect rates

**WHY**

Plans have category goals. A certified firm with relevant capability fills a measured gap.

**In DoD source selections, small business participation is often:**

- A. Ignored
- ✓ **B. Evaluated as a factor, rewarding specific commitments and prior plan performance**
- C. Only a pass/fail on plan acceptability
- D. Evaluated only for small business offerors

**WHY**

Beyond plan acceptability, the extent of participation is scored, which is why primes court capable small firms before RFP release.

**A large first-tier subcontractor receives a \$5M subcontract with further subcontracting possibilities. What is required?**

- A. Nothing; plans apply only to primes
- ✓ **B. It must submit its own subcontracting plan to the prime**
- C. It must become small
- D. It must file an SSR with SBA

**WHY**

The plan requirement flows down to large subs above the threshold, creating second-tier opportunities for small firms.

**For goal credit, a sub's size is determined:**

- A. At the prime contract award
- ✓ **B. At subcontract award, based on the sub's SAM representation under the NAICS the prime assigns**
- C. At the end of the contract
- D. By DCMA audit

**WHY**

Credit depends on the sub's status at subcontract award under the assigned NAICS.

**Match the report or role to its description:****CORRECT MATCHES**

|      |                                        |
|------|----------------------------------------|
| ISR  | Semi-annual report per contract        |
| SSR  | Annual summary per agency              |
| eSRS | System where reports are filed         |
| SBLO | Prime's small business liaison officer |

**WHY**

ISRs are semi-annual per contract; SSRs are annual per agency; eSRS is the system; the SBLO runs the prime's program.

**Order the lifecycle of a subcontracting plan:****CORRECT ORDER**

1. Offeror submits plan with proposal
2. CO negotiates goals
3. Plan accepted; contract awarded
4. ISRs filed semi-annually in eSRS
5. Good faith effort assessed; damages if none

**WHY**

Proposed with the offer, negotiated with the CO, accepted before award, reported semi-annually, and evaluated for good faith effort at the end.

**A government PM notices the small firms named in the prime's proposal are no longer on site and the work is done by the prime's staff. What should the PM do?**

A. Nothing; staffing is the prime's business

✓ **B. Raise it at the program review and inform the CO, since it bears on plan compliance and possibly on the evaluated commitments**

C. Terminate the contract

D. File a size protest

**WHY**

The post-award swap is a common way plans fail. The PM's observation is exactly what the CO needs for the good faith determination.

## SMALL BUSINESS IN DEFENSE CONTRACTING · LESSON 7

# Winning as a Small Business: The Machinery That Actually Produces Awards

24 min

*Sources sought responses, capability statements, the small business specialist, APEX Accelerators, industry days, and the supplier portals. How each piece of the small business ecosystem works, what it wants from you, and how to turn a certification into a pipeline.*

## Certification Is a License to Hunt, Not a Kill

A new SDVOSB or HUBZone certification arrives and nothing happens. No contracting officer calls. No award appears. This is the moment many small businesses conclude the programs do not work. The programs work; they just do not deliver awards to companies that are not in the machinery. The machinery is a set of specific people, documents, and events, each of which does one thing, and this lesson goes through them in the order a requirement flows. The Capture module explains how any company wins; this lesson is the small-business-specific layer on top of it.

## Where Requirements Become Visible

A requirement is visible to a small business at four points, and the earlier the better. Agency forecasts of contracting opportunities list expected acquisitions a year or more out, often with the anticipated set-aside type. Sources sought notices and RFIs on SAM.gov ask whether industry, and specifically small business, can do the work. Industry days present the requirement to a room. And the solicitation itself, by which time the set-aside decision is made and the shaping window is closed. A company that first sees a requirement at the solicitation stage is competing on someone else's terms. The Capture module's shaping window is, for small business, the sources sought stage.

## The Sources Sought Response: The Most Underrated Document in Small Business Contracting

When a CO posts a sources sought, the small business specialist is watching the responses to answer one question: are there at least two capable small businesses? Your response is a vote. A strong response is short, specific, and answers exactly what the notice asks: your size and certifications under the stated NAICS, two or three directly relevant past performances with contract numbers and dollar values, your capability against each element of the draft requirement, and any teaming you would use to cover gaps. A weak response is a marketing brochure. Two strong responses from certified firms can turn a full-and-open acquisition into a set-aside, and the responders have positioned themselves as the known capable sources before the RFP is written.

## What a Sources Sought Response Should Contain

- **Identification** Company name, CAGE, UEI, size and certifications under the notice's NAICS, point of contact.
- **Direct answers to the notice's questions** If it asks five questions, answer five questions, numbered the same way.
- **Relevant past performance** Two or three contracts: customer, contract number, value, period, scope, and why it is comparable.
- **Capability against the requirement** Element by element, briefly. Where you would team, say so and with whom (if agreed).
- **Suggestions on the acquisition strategy** If the requirement could be structured to enable a set-aside (splitting scope, choosing a NAICS), say so. COs read this.

## The Capability Statement and the People Who Keep It

The capability statement is a single page: what you do, who you have done it for, what makes you different, your certifications and NAICS codes, your identifiers, and how to reach you. It exists because small business specialists, PCRs, and prime SBLOs keep files, and the file is made of these. Every version should be tailored to the reader: the NAICS codes a Navy buying activity cares about, the past performance an Army program will recognize. A capability statement that lists thirty NAICS codes and no contract numbers says the company does not know what it does.

## The People in the Machinery

| WHO                                      | WHERE                               | WHAT THEY DO                                                                     | WHAT THEY WANT FROM YOU                                                     |
|------------------------------------------|-------------------------------------|----------------------------------------------------------------------------------|-----------------------------------------------------------------------------|
| Small business specialist                | Every DoD buying activity           | Reviews acquisitions for set-aside potential; advises the CO; keeps source lists | A capability statement on file, sources sought responses, a relationship    |
| Office of Small Business Programs (OSBP) | Each service and DoD level          | Policy, outreach events, matchmaking, goal tracking                              | Attendance at their events; registration in their databases                 |
| SBA Procurement Center Representative    | Assigned to major buying activities | Reviews and can challenge set-aside decisions; counsels small firms              | Evidence of capable small sources for specific requirements                 |
| APEX Accelerator counselor               | Regional centers nationwide         | Free help with registration, certifications, bid matching, proposal basics       | An appointment. This is the resource most new firms skip                    |
| Prime's SBLO                             | Each large contractor               | Fills the prime's subcontracting plan goals                                      | Registration in the supplier portal; a certification that matches their gap |
| Program office / COR                     | The requiring activity              | Owens the need; often knows the small firms in the market                        | Technical credibility, demonstrated at industry days and on current work    |

### REAL TALK

The small business specialist at a buying activity sees every acquisition above the simplified threshold before it is released and gets asked, on each one, whether there are small businesses who can do it. If they know you, you are the answer to that question. If they do not, you are not. The cheapest, highest-return action in small business contracting is a 30-minute meeting with the small business specialist at each activity you want to work with, with a capability statement they will keep.

One sentence to teach your team: **set-aside awards go to the small businesses the small business specialist already knows, and they get known by answering sources sought notices, showing up at industry days, and putting a one-page capability statement in the right hands.**

## INTERMEDIATE

## SAM and DSBS: Your Profile Is Your Listing

When a CO or a prime searches for small businesses in a NAICS code, they search SBA's Dynamic Small Business Search, which is built from SAM profiles. The capabilities narrative, keywords, past performance references, and certifications in your SAM profile are what appear. Most profiles are empty or generic. A profile with specific keywords (the systems, platforms, and functions you actually support), current certifications, and a link to the capability statement is findable. This is free, takes an afternoon, and is where source lists come from.

## Industry Days: What to Do There

The government hosts industry days to present a requirement, answer questions, and take the market's temperature. For a small business, the value is in three things. Asking one precise question in the open session, which signals capability to the program office and to every prime in the room. Meeting the primes' capture leads and SBLOs, who are there specifically to find teammates for the small business participation factor. And reading the room: how many small firms attended, which primes are teaming with whom, and whether the government seemed to be steering toward a set-aside. Follow up within a week with the small business specialist and with any prime you spoke to. The attendance list often becomes the sources list.

## Prime or Sub? The Small Business Version

| SIGNAL               | LEAN TOWARD PRIMING                                                          | LEAN TOWARD SUBBING              |
|----------------------|------------------------------------------------------------------------------|----------------------------------|
| Set-aside likelihood | Sources sought shows two or more capable small firms; agency behind on goals | Requirement likely full and open |
| Scope fit            | You can self-perform the required share                                      | Your capability covers one slice |
| Past performance     | Relevant contracts in your own name                                          | Relevant work only as a sub      |
| Infrastructure       | Accounting system and contracts staff ready                                  | Not yet                          |
| Prime interest       | Primes are asking you to sub (they see the set-aside coming)                 | Primes are indifferent           |

## The Set-Aside Decision Can Be Influenced

The CO decides the set-aside type based on market research and goals, and the decision is reviewed by the small business specialist and, at larger activities, the SBA PCR. Both can push back on a decision not to set aside. A small business that believes a requirement should be set aside, and can show that it and at least one other firm are capable, can raise that with the small business specialist and the PCR before the solicitation is finalized. This is legitimate advocacy, and it is how a meaningful share of set-asides come to exist.

**ADVANCED**

## Building a Set-Aside Pipeline

A pipeline built on set-asides has a specific shape. It starts with agency forecasts filtered by NAICS and anticipated set-aside type, twelve to twenty-four months out. Each opportunity is qualified on three questions: is it likely to be set aside in a category we hold, can we self-perform the required share (alone or with similarly situated partners), and do we have or can we build the relationship with the program office before the sources sought. Opportunities that pass get a sources sought response, an industry day plan, and a named teaming approach. The pipeline metric that matters is not Pwin on solicitations; it is the number of requirements where the company was a named capable source before the RFP was drafted.

## Recompetes and the Incumbent Small Business

A small business incumbent on a set-aside has two advantages and one danger. The advantages: the program office knows the work is being done well, and the sources sought for the recompetes will likely find the incumbent and its similarly situated partners as capable sources. The danger: the incumbent has grown, and the recompetes sources sought is where the CO discovers it. A company that will be large at the recompetes's offer date needs to know that two years out, because the options are to shape the NAICS (legitimately, if a different code truly fits), to form a JV with a small partner who becomes the prime, or to prepare to compete full and open. The Graduation Cliff lesson takes this further.

## A First-Year Plan for a Newly Certified Firm

Twelve months, in order. Each step feeds the next.

### Month 1: Fix the profile and the page **FOUNDATION**

SAM profile with real keywords and certifications; one tailored capability statement per target customer.

And an APEX Accelerator appointment to review both.

### Months 2 to 3: Meet the specialists **PEOPLE**

Small business specialist at each target buying activity; the SBA PCR; two or three prime SBLOs.

Leave the capability statement. Ask what goals they are missing.

### Months 3 to 6: Answer everything relevant **SIGNALS**

Every sources sought and RFI in your NAICS codes at your target activities.

Quality over quantity, but volume matters early; you are becoming a known source.

### Months 6 to 9: Show up **PRESENCE**

Industry days, OSBP matchmaking events, prime supplier events.

One precise question per event. Follow up within a week.



**Months 9 to 12: Convert** **AWARDS**

Sole-source conversations where only you responded; teaming for set-asides where several did; subcontracts with primes filling goals.

The first award usually comes from the specialist who knows you, not from a cold bid.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

They treat sources sought responses as capture deliverables with the same rigor as proposals. They know every small business specialist and PCR at their target activities by name. They build the pipeline from forecasts, not from solicitations. And they plan the recompetes of every set-aside from the day it is awarded, because that is when the company's size at the next offer date is already predictable.

**BUILD ON THIS**

- **The BD-to-Capture Lifecycle** The general capture process this layer sits on
- **The DoD Contracting Enterprise** SAM.gov and USASpending as intelligence
- **Set-Asides From the Government Side** What the CO and specialist do with your response

## Key Terms

### Sources Sought Notice

A pre-solicitation notice on SAM.gov asking industry whether it can perform a requirement. Responses are the market research that determines whether the acquisition is set aside. Not a solicitation; no award follows directly.

### Request for Information (RFI)

A broader pre-solicitation request for industry input on a requirement, approach, or market. Often paired with a sources sought.

### Capability Statement

A one-page company summary: core competencies, past performance, differentiators, certifications, NAICS codes, CAGE and UEI, and contact. The document the small business specialist keeps on file.

### Small Business Specialist / OSBP

The person in each DoD buying activity (and the Office of Small Business Programs above them) responsible for maximizing small business participation. Reviews every acquisition above the SAT for set-aside potential.

### APEX Accelerator

Formerly Procurement Technical Assistance Centers (PTACs). Government-funded counselors who help small businesses register, find opportunities, and understand requirements at no charge.

### Procurement Center Representative (PCR)

An SBA official assigned to buying activities who reviews acquisitions for set-aside opportunities and can recommend or appeal against a decision not to set aside.

### Industry Day

A government-hosted event where a program presents an upcoming requirement and industry asks questions and meets. Where teams form and where the government gauges interest.

### CAGE Code and UEI

Commercial and Government Entity code and Unique Entity Identifier. The identifiers assigned through SAM registration that appear on every proposal and contract.

### Dynamic Small Business Search (DSBS)

SBA's database of small businesses, populated from SAM profiles. Contracting officers and primes use it to find sources; the profile text is your listing.

### Forecast of Contracting Opportunities

Agency-published lists of anticipated acquisitions for the coming year, often including expected set-aside type. The earliest public signal of a requirement.

## Knowledge Check

---

What is the primary purpose of a sources sought notice?

A. To award a contract

✓ **B. Market research to determine whether capable sources, especially small businesses, exist for a requirement**

C. To announce a protest

D. To request pricing

### WHY

Responses to a sources sought are the market research behind the set-aside decision. No award follows directly.

Two strong sources sought responses from certified small businesses most directly enable the CO to:

A. Award sole source to both

✓ **B. Set the acquisition aside under the Rule of Two**

C. Skip the solicitation

D. Raise the contract ceiling

### WHY

The Rule of Two requires a reasonable expectation of two responsible small offerors. Credible responses provide it.

What is a capability statement?

A. A 30-page corporate overview

✓ **B. A one-page tailored summary of competencies, past performance, certifications, NAICS codes, identifiers, and contact**

C. A SAM registration form

D. A price list

### WHY

It is the document specialists and SBLOs keep on file. One page, tailored to the reader.

**Who reviews every acquisition above the simplified threshold at a DoD buying activity for set-aside potential?**

A. The program manager

✓ **B. The small business specialist**

C. DCAA

D. The GAO

**WHY**

The small business specialist reviews acquisitions and advises the CO on set-aside opportunities. Being known to them is the highest-return action.

**What does an APEX Accelerator provide?**

A. Loans

✓ **B. Free counseling on registration, certifications, opportunity matching, and proposal basics**

C. Sole-source awards

D. SBA certifications

**WHY**

APEX Accelerators (formerly PTACs) are government-funded, no-cost counseling resources for small businesses.

**Where do COs and primes find small businesses when searching by NAICS?**

A. LinkedIn

✓ **B. SBA's Dynamic Small Business Search, built from SAM profiles**

C. GAO reports

D. USASpending

**WHY**

DSBS is populated from SAM. The profile text and keywords are the listing.

**What can an SBA Procurement Center Representative do?**

A. Award contracts

✓ **B. Review set-aside decisions and challenge a decision not to set aside**

C. Certify size

D. Issue TDLs

**WHY**

PCRs advocate for small business at buying activities and can appeal set-aside decisions.

**A small business first learns of a requirement when the solicitation is released. What is true?**

A. This is the ideal time

✓ **B. The set-aside decision is already made and the shaping window is closed**

C. The company can still request a sources sought

D. Sole source is still available

**WHY**

Set-aside decisions and requirement shaping happen at the forecast, sources sought, and industry day stages.

**At an industry day, what is the highest-value action for a small business?**

A. Handing out as many brochures as possible

✓ **B. Asking one precise technical question, meeting prime SBLOs and capture leads, and following up within a week**

C. Announcing the company's price

D. Leaving early

**WHY**

A precise question signals capability to the program office and primes; follow-up turns the attendance list into a source list.

**Order the points at which a requirement becomes visible, earliest first:****CORRECT ORDER**

1. Agency forecast of contracting opportunities
2. Sources sought notice or RFI
3. Industry day
4. Solicitation

**WHY**

Forecasts come first, then sources sought/RFIs, then industry days, then the solicitation.

**Match the person to what they want from a small business:****CORRECT MATCHES**

|                            |                                                                  |
|----------------------------|------------------------------------------------------------------|
| Small business specialist  | Capability statement on file; sources sought responses           |
| Prime SBLO                 | Supplier portal registration; certification matching a goal gap  |
| APEX Accelerator counselor | An appointment to review registrations and profile               |
| Program office             | Technical credibility shown at industry days and on current work |

**WHY**

Specialists want capability statements and sources sought responses; SBLOs want certified firms in their supplier portals; APEX counselors want an appointment; program offices want technical credibility.

**What pipeline metric best reflects set-aside positioning?**

- A. Number of solicitations bid
- ✓ **B. Number of requirements where the company was a named capable source before the RFP was drafted**
- C. Total proposal pages
- D. Number of certifications held

**WHY**

Set-aside wins come from being known before the solicitation. That is the leading indicator.

## SMALL BUSINESS IN DEFENSE CONTRACTING · LESSON 8

# The Graduation Cliff: Planning for the Day You Are Large

23 min

*Every successful small business outgrows the programs that built it. The 8(a) term ends, the receipts average crosses the standard, or a buyer changes the ownership. This lesson is about seeing the date years out and building the company that survives it: full-and-open capability, mid-tier positioning, vehicles, and the bridges that buy time.*

## Success Has a Date on It

A small business that wins keeps winning until it is not small. That is the design. The programs exist to grow companies out of them. But the exit is a cliff, not a ramp: on one side, set-asides and sole source and a small business specialist who calls you; on the other, competitions against companies fifty times your size, with no preference and no protection. Companies that fall off the cliff mostly did not see it coming, even though the date was predictable years ahead. This lesson is about seeing it and building for it.

## Three Ways the Cliff Arrives

The size standard: the five-year receipts average (or 24-month headcount) crosses the line for the NAICS codes you compete in. Because it is an average, the crossover date is visible years out to anyone who projects it. The program term: 8(a) ends after nine years no matter what the company's size is, and SBA raises the non-8(a) revenue requirement through the transition stage to force preparation. The transaction: a sale to a large company, or an investment that creates affiliation, makes the company large within 30 days. Two of the three are foreseeable to the month. The third is chosen.

## What Changes on the Other Side

| BEFORE GRADUATION                                         | AFTER GRADUATION                                                              |
|-----------------------------------------------------------|-------------------------------------------------------------------------------|
| Set-aside and sole-source awards                          | Full-and-open competition only (existing contracts continue to completion)    |
| Small business specialist advocates for you               | You are the large firm the specialist is trying to set work aside from        |
| No subcontracting plan required                           | Plan required on every contract above the threshold, with goals and reporting |
| Primes court you for their plans                          | You need small subs for your own plan                                         |
| Past performance evaluated with neutral treatment if thin | Compared directly against primes with decades of relevant work                |
| Price often evaluated against other small firms           | Price evaluated against the largest firms' rates and scale                    |
| Agency goal credit makes you attractive                   | No goal credit; must win on merit and price alone                             |

## No Man's Land

The mid-tier problem is structural. A \$60M services company is too large for the set-asides that built it and too small to match the rates, past performance depth, and bid capacity of a \$5B prime on a full-and-open competition. Its indirect rates are higher than the prime's because its base is smaller. Its past performance is mostly set-aside work, which evaluators may weigh as less relevant to a large program. And its capture budget cannot chase the same number of pursuits. Many firms in this band shrink, sell, or specialize. The ones that grow through it decided years earlier what they would be on the other side.

### REAL TALK

The most common failure is not lack of warning. It is that the company kept taking set-aside work because it was easier, right up to the crossover date, and arrived on the other side with a backlog of contracts it cannot recompile and no experience competing without a preference. The cure is uncomfortable: start losing full-and-open competitions while you are still small, because that is how you learn to win them.

## The Bridges That Buy Time

None of these avoid the cliff. Each one makes the landing softer.

- **Unrestricted vehicle positions** A seat on an unrestricted MAC or GWAC won while small can usually be used after graduation for task orders. Win them before the crossover.
- **Long-term contracts awarded while small** A five-year contract with options, awarded before the crossover, runs to completion (subject to recertification at year five and agency discretion on options).



- **SBIR Phase III** If the company has SBIR/STTR-funded technology, Phase III work can be awarded sole source without regard to size. A genuine post-graduation authority for firms that have it.
- **Mentor-protégé, from the other side** A graduated firm can become a mentor and access set-aside work through a JV with a small protégé, within the program's rules.
- **Full-and-open wins before graduation** The only bridge that is also a destination. Even one prime contract won without a preference changes what the company can cite.

One sentence to teach your team: **the date the company becomes large is predictable years in advance, and the only real preparation is to start winning without the preference before you lose it.**

#### INTERMEDIATE

### The 8(a) Transition Stage: SBA Forces the Issue

SBA does not let 8(a) firms ignore the end. In the transition stage (years five through nine), firms must meet increasing targets for revenue from non-8(a) sources, rising through the stage toward a majority of revenue. A firm that fails to meet the targets can be denied further 8(a) sole-source awards. The rule is unpopular and correct: it is the only mechanism that makes a firm practice competing while it still has the safety net. Firms that treat the targets as a compliance nuisance are the ones that exit with nothing. Firms that treat them as the business plan exit with a book of competitive work.

### Projecting the Crossover Date

For receipts-based standards, build a five-year rolling average with the company's actual revenue for completed years and the forecast for future ones, and compare it to the size standard for each NAICS pursued. The crossover is the first year the average exceeds the standard. Include affiliates. Include the effect of a large win: a \$30M contract awarded next year adds to receipts for five years. For employee-based standards, do the same with 24-month headcount. Present the result to the leadership team as a date, and revisit it every quarter, because it moves with every win and every SBA inflation adjustment.

## Worked Crossover Projection (Receipts, \$47M Standard)

| FISCAL YEAR       | RECEIPTS | FIVE-YEAR AVERAGE | STATUS           |
|-------------------|----------|-------------------|------------------|
| Year 1 (actual)   | \$22M    |                   |                  |
| Year 2 (actual)   | \$28M    |                   |                  |
| Year 3 (actual)   | \$36M    |                   |                  |
| Year 4 (forecast) | \$48M    |                   |                  |
| Year 5 (forecast) | \$58M    | \$38.4M           | Small            |
| Year 6 (forecast) | \$66M    | \$47.2M           | Large: crossover |
| Year 7 (forecast) | \$70M    | \$55.6M           | Large            |

## Recompete Planning With the Cliff in View

For every set-aside contract, the question is whether the company will be small at the recompete's offer date. If yes, plan the recompete normally. If no, the options are a JV in which a small partner is the managing venturer (with the graduated firm as mentor, if the program allows), a strategic decision to let the recompete go and redeploy the staff, or advocating early for the requirement to be structured in a way the company can compete for (which the small business specialist will resist if small sources exist). Deciding this three years out, per contract, is the practical form of cliff planning.

### ADVANCED

## Choosing the Company You Will Be

Firms that grow through the mid-tier tend to have made one of three choices well before the crossover. Specialize: become the recognized best at a narrow capability so that full-and-open evaluators see a discriminator rather than a smaller version of the primes. Prime a vehicle: use unrestricted vehicle positions to build past performance and customer relationships at scale before the cliff. Or sell into strength: exit while the set-aside pipeline still has value to a small buyer, or to a large buyer who values the customer access and staff rather than the set-aside revenue. Each is a legitimate strategy. Drifting into the mid-tier without one is not.

## The Deliberate Cliff: Selling the Company

The Business module covered how buyers value set-aside revenue. From the seller's side, the timing question is whether to sell before or after graduation. Before, a small buyer can value the set-aside pipeline at full weight and a large buyer will discount it heavily. After, the set-aside revenue is already running off

and the company is valued on its full-and-open book, which is usually smaller but more durable. Senior leaders who intend to sell model both paths, and they often find that a company two years from natural graduation, with a growing full-and-open book and a still-active set-aside pipeline, is worth more than the same company at either extreme.

## The Three-Year Cliff Plan

Working backward from the projected crossover date.

### 36 months out: Decide the strategy STRATEGY

Specialize, prime a vehicle, or sell into strength. Name it.

Set a target for full-and-open revenue share at crossover and track it quarterly.

### 30 months out: Win vehicle positions VEHICLES

Bid every relevant unrestricted MAC and GWAC while small.

Positions won now are the bridge. Positions pursued after graduation compete against everyone.

### 24 months out: Start losing full-and-open bids PRACTICE

Bid competitive work you may not win, to build the capture and pricing muscle.

Debriefs from these losses are the education. Losing while small is cheap; losing after graduation is the business.

### 18 months out: Sort the contract portfolio PORTFOLIO

For each set-aside, decide: JV with a small partner, recompet full and open, or let it go.

Start the mentor-protégé conversations for the JV path now; SBA approval takes time.

### 12 months out: Build the large-company infrastructure COMPLIANCE

Subcontracting plan template and SBLO, small business sourcing, pricing for full-and-open competitions.

The first post-graduation proposal will require a subcontracting plan. Have one ready.

### WHAT SENIOR LEADERS DO DIFFERENTLY

They know the crossover date under every NAICS they pursue and present it to the board. They set a full-and-open revenue target years before graduation and hold themselves to it. They win unrestricted vehicles while small. They decide, contract by contract, what happens at the recompet. And they choose what the company will be on the other side instead of finding out.

**BUILD ON THIS**

- **Size Standards and NAICS** The averaging rules behind the crossover date
- **How GovCon Companies Are Valued** The set-aside cliff from the buyer's side
- **IDIQs, GWACs & A&AS** The vehicle positions that bridge the cliff

**Key Terms****Graduation**

Leaving small business status, either by exceeding the size standard or by completing a program term (8(a)). Not a ceremony; a change in which competitions the company can enter.

**Crossover Date**

The projected date on which the company's five-year receipts average (or 24-month headcount) exceeds the size standard for a given NAICS. Calculable years in advance.

**Mid-Tier**

The informal label for companies too large for set-asides and too small to compete comfortably against the largest primes on full-and-open work. Often called "no man's land."

**Full and Open**

Competition open to all responsible sources regardless of size. The market a graduated company must win in.

**Contract Vehicle Position**

A seat on an unrestricted multiple-award contract or GWAC. Positions won while small can often be used after graduation and are the most common bridge across the cliff.

**SBIR Phase III**

Follow-on work derived from SBIR/STTR research that can be awarded sole source to the developing firm regardless of its size at the time. One of the few authorities that survives graduation.

**8(a) Transition Stage**

Years five through nine of the 8(a) term, during which SBA requires increasing shares of non-8(a) revenue to prepare the firm to leave the program.

**Recertification**

The size re-statements required at year five of long-term contracts, on options thereafter, and after ownership changes; covered in the Size Standards lesson and the mechanism by which the cliff arrives on existing contracts.

**Novation and Recertification on Sale**

When a small business is sold to a large one, it recertifies as large within 30 days; the contracts continue but the set-aside pipeline ends. The Business module's "set-aside cliff."

**Past Performance in Own Name**

Prime contract experience the company can cite in full-and-open competitions. The asset most graduated firms discover they lack.

## Knowledge Check

Which of the three ways the cliff arrives is NOT predictable years in advance?

- A. Crossing the receipts-based size standard
- B. The end of the 8(a) nine-year term
- ✓ C. A sale to a large company
- D. All three are predictable

### WHY

Size crossover and program terms are calculable. A transaction is a choice, made on the company's timeline.

A company's receipts are \$22M, \$28M, \$36M, \$48M, and \$58M over five years against a \$47M standard. Is it small at the end of year five?

- A. No; the last two years exceed \$47M
- ✓ B. Yes; the five-year average is \$38.4M
- C. No; the average is \$47.2M
- D. Only if it has fewer than 500 employees

### WHY

$\$192\text{M} \div 5 = \$38.4\text{M}$ , under the standard. The crossover comes the following year when the average reaches \$47.2M.

What happens to set-aside contracts already awarded when a company graduates?

- A. They are terminated
- ✓ B. They continue to completion, subject to recertification at year five and agency discretion on options
- C. They convert to full and open
- D. They must be novated to a small business

### WHY

Existing awards continue; the pipeline of new set-aside work ends.

**What does the 8(a) transition stage require?**

A. Nothing; firms simply exit at year nine

✓ **B. Increasing shares of revenue from non-8(a) sources in years five through nine**

C. A merger with a mentor

D. HUBZone certification

**WHY**

SBA raises non-8(a) revenue targets through the transition stage to force firms to practice competing.

**Why is an unrestricted vehicle position won while small considered a "bridge"?**

A. It exempts the company from size standards

✓ **B. Task orders under it can usually be pursued after graduation, so the position carries across the cliff**

C. It automatically renews

D. It provides sole-source authority

**WHY**

Positions on unrestricted MACs and GWACs do not depend on small status for orders, unlike set-aside vehicles.

**Which authority allows sole-source awards to a firm regardless of its current size?**

A. 8(a) sole source

B. HUBZone sole source

✓ **C. SBIR/STTR Phase III**

D. Small business set-aside

**WHY**

Phase III awards derived from SBIR/STTR work can be made without regard to the firm's size at the time.

**What is the "mid-tier" or "no man's land" problem?**

A. Companies that are too small for any contract

✓ **B. Companies too large for set-asides but too small to compete comfortably against the largest primes**

C. Companies with no certifications

D. Companies with too many vehicles

**WHY**

Mid-tier firms lose the preference and face primes with lower rates, deeper past performance, and larger capture budgets.

**A newly graduated firm submits its first full-and-open proposal. What new requirement applies that did not before?**

A. A size protest

✓ **B. A small business subcontracting plan with goals**

C. A sources sought response

D. A JV agreement

**WHY**

Other-than-small offerors above the threshold must submit subcontracting plans. The graduated firm now needs small subs for its own plan.

**Why does the lesson recommend "losing full-and-open bids while still small"?**

A. To lower the company's receipts

✓ **B. Because debriefs from those losses build the capture and pricing capability the company needs after graduation, at low cost**

C. To satisfy SBA

D. To avoid set-aside competition

**WHY**

Competing without a preference is a skill. Learning it while set-aside revenue still supports the company is cheaper than learning it after.

**Order the three-year cliff plan steps from earliest to latest:****CORRECT ORDER**

1. Decide the post-graduation strategy
2. Win unrestricted vehicle positions
3. Bid full-and-open work for practice
4. Decide the recompile path for each set-aside contract
5. Build subcontracting plan capability and large-firm pricing

**WHY**

Strategy first, then vehicles, then practice bids, then portfolio decisions, then large-company infrastructure.

**Match the bridge to how it works:****CORRECT MATCHES**

|                                        |                                                    |
|----------------------------------------|----------------------------------------------------|
| Unrestricted vehicle position          | Task orders remain available after graduation      |
| Long-term contract awarded while small | Runs to completion subject to recertification      |
| SBIR Phase III                         | Sole source regardless of size                     |
| Becoming a mentor                      | Set-aside access through a JV with a small protégé |

**WHY**

Vehicle positions carry across; long-term contracts run to completion; Phase III ignores size; becoming a mentor reaches set-asides through a JV.

**A company two years from natural graduation has a growing full-and-open book and an active set-aside pipeline. From a valuation standpoint, this is often:**

- A. The worst time to sell
- ✓ **B. Worth more than the same company at either extreme, because both revenue types still have value**
- C. Irrelevant to buyers
- D. Only attractive to large buyers

**WHY**

Set-aside revenue still has value to a small buyer and the full-and-open book has value to everyone. Later, the set-aside book is running off.



## SMALL BUSINESS IN DEFENSE CONTRACTING · LESSON 9

# Small Business Compliance Traps: How Good Companies End Up in Enforcement Cases

24 min

*The fact patterns behind the settlements. Size and status misrepresentation, the presumption of loss, rent-a-vet schemes, HUBZone residency drift, ownership changes that void 8(a) status, and the ostensible subcontractor. What each looks like from the inside, how it is discovered, and the controls that prevent it.*

## Nobody Sets Out to Commit Fraud

The companies in small business enforcement cases were not, mostly, founded to defraud anyone. They were small businesses that grew, took an investor, teamed with a large partner, moved offices, had a founder retire, or kept certifying the way they always had after the facts changed. The rules do not care about intent at the first step, only at the last: once a certification is false, the question becomes whether the company knew or should have known, and by then the numbers are large. This lesson walks through the fact patterns that recur in settlements and prosecutions so that a PM, an executive, or a compliance lead can recognize the early version of each one.

## Why the Numbers Are So Large

Two rules combine to make set-aside misrepresentation uniquely expensive. First, the presumption of loss: when a company willfully misrepresents size or status to get an award, the government's damages are presumed to be the entire amount paid under the contract, not the profit and not the difference between the company's price and the next bidder's. Second, the False Claims Act trebles damages and adds per-claim penalties. A company that improperly held a \$20M set-aside faces a starting exposure of \$60M plus penalties, even if it performed the work perfectly. Settlements are typically negotiated below that, but the starting point is what it is.

## The Recurring Fact Patterns

| PATTERN                              | HOW IT STARTS                                                                               | HOW IT IS DISCOVERED                          | THE RULE VIOLATED                                    |
|--------------------------------------|---------------------------------------------------------------------------------------------|-----------------------------------------------|------------------------------------------------------|
| Certifying small after growing large | SAM representation not updated; the "we have always been small" habit                       | Size protest by a competitor; SAM data mining | Size standards; deemed certification                 |
| Rent-a-vet / nominal owner           | A non-eligible operator recruits an eligible individual as majority owner on paper          | Former employee qui tam; VetCert examination  | Ownership and control requirements                   |
| Ostensible subcontractor             | Large incumbent finds a small partner to prime after losing to a set-aside                  | Size protest; staffing records                | Affiliation                                          |
| HUBZone residency drift              | Hiring outside the zone; zone redesignation                                                 | SBA program examination; recertification      | 35% residency requirement                            |
| 8(a) ownership change                | Founder brings in a partner or investor above 49%, or transfers shares without SBA approval | Annual review; protest                        | 8(a) ownership and control rules; SBA prior approval |
| Limitations on subcontracting        | Large sub absorbs more work than planned                                                    | CO inquiry; qui tam; DCAA                     | 13 CFR 125.6 and FAR 52.219-14                       |
| Pass-through for a large firm        | Small firm holds the contract; large firm does everything                                   | Whistleblower; audit                          | Affiliation, limitations, and often FCA              |

## The Rent-a-Vet Pattern, in Detail

Most SDVOSB fraud cases share a structure. An established company, or an operator, wants access to SDVOSB set-asides. It finds a service-disabled veteran and makes that person the 51% owner and president of a new company. The operator provides the capital, the staff, the office, the customers, and the management. The veteran signs documents. Profits flow to the operator through management fees, leases, salaries, or side agreements. On paper the company is an SDVOSB. In substance the veteran controls nothing. The rule requires that the veteran unconditionally own 51% and control both long-term decisions and day-to-day management. Investigators look at who signs contracts, who hires and fires, who controls the bank account, where the profit actually goes, whether the veteran has another full-time job, and whether the veteran could remove the operator. Several of these cases have ended in prison sentences, not just settlements, because the individuals involved lied to federal officials during the examination.

**REAL TALK**

The tell in almost every status fraud case is that the eligible owner cannot describe the business. Not the finances, not the contracts, not the staff. Investigators interview the owner first. An SDVOSB owner who cannot name the company's three largest contracts has just become the government's best witness. If your company's eligible owner is a figurehead, that is not a compliance risk; it is the case.

## Who Reports These Cases

Most set-aside enforcement begins with a qui tam suit filed by someone who knows the company: a former executive, a controller, a passed-over partner, a competitor who lost the award. The FCA gives whistleblowers 15% to 30% of the recovery, which on a large contract is a life-changing sum. The second source is protests: a losing competitor files a size or status protest, SBA finds the problem, and the file is referred for investigation. The third is data: SAM representations compared against tax data and award records. A company that is out of compliance should assume someone already knows.

One sentence to teach your team: **a false size or status certification makes the whole contract value the measure of damages, tripled, and the person most likely to report it already works for you.**

**INTERMEDIATE**

## Deemed Certification: You Certified Whether You Meant To or Not

Companies sometimes argue they never signed a certification. The statute closes that door. Submitting a bid or proposal for a set-aside, registering in SAM with a size or status representation, and receiving an award on a set-aside are each deemed an affirmative certification. The representation in SAM is renewed at each annual update and applies to every offer that relies on it. This is why the SAM profile is not an administrative detail. Every box checked there is a statement to the government that can be tested against the facts on any given offer date.

## Knowledge and the "Should Have Known" Standard

FCA liability attaches to claims made knowingly, which includes deliberate ignorance and reckless disregard. A company that never checked its five-year average, never reviewed its investor's veto rights against affiliation rules, or never asked whether the veteran actually runs the company can be found to have acted with reckless disregard. The defense that "nobody told us" fails when the information was available and the company did not look. The practical standard is that a company holding set-aside contracts has an affirmative duty to know its own eligibility, continuously.

## Controls That Prevent the Common Patterns

| RISK                          | CONTROL                                                                                                                   | OWNER              |
|-------------------------------|---------------------------------------------------------------------------------------------------------------------------|--------------------|
| Size drift                    | Quarterly five-year average and headcount calculation, including affiliates, against every NAICS pursued                  | CFO                |
| Affiliation from investment   | Legal review of every term sheet and shareholder agreement against SBA affiliation rules before signing                   | General counsel    |
| Status control                | Annual documented review that the eligible owner holds the highest office, controls the bank account, and makes decisions | Board / compliance |
| HUBZone residency             | Monthly residency ratio with each hire checked against the HUBZone map before the offer letter                            | HR                 |
| Limitations on subcontracting | Monthly dollar ratio per set-aside contract, projected to period end                                                      | Each PM            |
| SAM accuracy                  | Recertification of every SAM representation at annual renewal with sign-off by an officer                                 | Contracts          |
| Ownership changes             | SBA notification and approval process before any transfer of shares in a certified firm                                   | General counsel    |

## Status Protests and Program Examinations

A status protest challenges an awardee's SDVOSB, HUBZone, WOSB, or 8(a) eligibility. It is filed with the CO within the same five-business-day window as a size protest and decided by SBA. Unlike a size protest, a status protest examines ownership and control documents, residency records, or program eligibility. A lost status protest can trigger decertification, which ends eligibility for all future set-asides in that category, not just the protested award. SBA also conducts program examinations without a protest, on referral or at random, with the same potential result.

### ADVANCED

## When You Find a Problem: Mandatory Disclosure and Self-Correction

A company that discovers it has been certifying incorrectly has two paths. Stop, correct the SAM representation, and say nothing about the past, which leaves the historical exposure intact and forfeits the mitigation that disclosure provides. Or engage counsel, determine whether the FAR mandatory disclosure rule applies (it does when there is credible evidence of a false claim), disclose to the agency OIG and CO, and negotiate. Self-disclosure does not eliminate liability, but it changes the posture: the government treats a company that came forward differently from one that was caught, both in damages and in the suspension and debarment decision. Senior leaders who find a problem call counsel that week, not after the next award.

## Individual Exposure

Corporate settlements are the visible outcome. The less visible one is that officers, owners, and in some cases contracts staff face personal liability. The FCA reaches individuals who caused false claims to be submitted. Criminal statutes on false statements and wire fraud reach individuals who lied to investigators or structured the scheme. In SDVOSB and 8(a) cases, both the nominal owner and the operator have been prosecuted. And suspension and debarment applies to individuals, ending their ability to work in government contracting in any capacity. A PM asked to sign a compliance certification they know is wrong is being asked to accept personal exposure, and the correct answer is to refuse and escalate.

## Warning Signs a PM or Executive Should Not Ignore

Each of these has appeared in a settled case.

### **The eligible owner is not in the building** CONTROL

Another full-time job, rarely present, does not attend customer meetings.

Control means daily management. Absence is the first fact investigators establish.

### **Money leaves through side agreements** OWNERSHIP

Management fees, above-market leases, or consulting payments to a non-eligible party.

Unconditional ownership includes the economic benefit. If the profit flows elsewhere, the ownership is conditional.

### **The large partner's staff are on your payroll** AFFILIATION

Employees transferred for the contract, still managed by the partner.

Ostensible subcontractor and limitations on subcontracting, at once.

### **SAM says small; the CFO says otherwise** SIZE

Nobody has run the five-year average since the last big win.

Run it. Then update SAM before the next offer.

### **Certification questions get "let's not go there"** CULTURE

A question about eligibility is deflected instead of answered.

The deflection is itself evidence of knowledge. Ask again, in writing.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

They treat eligibility as a continuous obligation with named owners and a quarterly review. They make the eligible owner's control real and documented. They route every investment, teaming, and ownership change through affiliation and program review before signing. They fix SAM the day the facts change. And when they find a historical problem, they disclose it with counsel, because the alternative is a whistleblower doing it for them.

**BUILD ON THIS**

- **The Set-Aside Programs** The ownership and control rules each program requires
- **Affiliation** The ostensible subcontractor rule and size protests
- **Limitations on Subcontracting** The monthly ratio that keeps a team compliant

## Key Terms

### Presumption of Loss

Statutory rule (15 U.S.C. 632(w)) that when a company willfully misrepresents its size or status to obtain a contract, subcontract, or award, the government's loss is presumed to equal the total amount expended on the contract. Sets the base for False Claims Act damages.

### Deemed Certification

Submitting an offer, registering in SAM, or receiving an award on a set-aside is treated as an affirmative certification of size and status. No separate signed statement is needed for liability.

### False Claims Act (FCA)

The statute under which the government (or a whistleblower on its behalf) recovers treble damages plus penalties for false claims for payment. Set-aside misrepresentation cases are brought under it.

### Qui Tam

A whistleblower suit under the FCA, filed by a private person (often a former employee or competitor) who receives a share of the recovery. The source of most set-aside enforcement.

### Rent-a-Vet

The informal name for schemes in which a service-disabled veteran (or other eligible individual) holds nominal ownership while a non-eligible party actually controls and profits from the company.

### Suspension and Debarment

Administrative exclusion from government contracting, proposed by an agency suspension and debarment official. Can follow an enforcement case and applies across all agencies.

### Unconditional Ownership

Ownership not subject to conditions, agreements, or arrangements that could shift control or economic benefit to another party. Required for every socioeconomic program.

### Program Examination

SBA's review of a certified firm's continued eligibility, triggered by protest, referral, or random selection. Can result in decertification.

### Status Protest

A challenge to an awardee's socioeconomic status (SDVOSB, HUBZone, WOSB, 8(a)), decided by SBA. Parallel to a size protest but on different grounds.

### Mandatory Disclosure

The FAR rule requiring contractors to disclose credible evidence of certain violations, including false claims, to the agency OIG and CO. Timely self-disclosure is a mitigating factor in enforcement.

## Knowledge Check

Under the presumption of loss rule, the government's damages for a willful size or status misrepresentation are presumed to be:

- A. The contractor's profit
- B. The difference between the winning and next price

✓ C. The total amount paid under the contract

- D. A fixed penalty per claim

### WHY

Statute presumes loss equal to the full contract value, which is then trebled under the FCA.

What is "deemed certification"?

- A. A certification signed by SBA

✓ B. The rule that submitting an offer, registering in SAM, or receiving a set-aside award counts as an affirmative certification of size and status

- C. A third-party WOSB certification
- D. A DCAA finding

### WHY

No separate signed statement is required. The offer and the SAM representation are the certification.

In a typical "rent-a-vet" case, what is the defining fact?

- A. The veteran is not disabled

✓ B. The veteran holds nominal ownership while a non-eligible party actually controls the company and receives the economic benefit

- C. The company is too large
- D. The company has no contracts

### WHY

Control and unconditional ownership are both required. Paper ownership without control is the violation.



**Who files most set-aside False Claims Act cases?**

A. The contracting officer

✓ B. Whistleblowers (qui tam relators), often former employees or competitors

C. DCAA

D. The GAO

**WHY**

Qui tam relators receive 15% to 30% of recoveries, which drives most enforcement.

**A company never calculated its five-year receipts average and continued certifying small after a large win pushed it over the standard. Under the FCA, this is most likely:**

A. Not a violation, because the company did not know

✓ B. Potentially reckless disregard, which satisfies the knowledge requirement

C. A minor administrative error

D. A DCAA matter only

**WHY**

Deliberate ignorance and reckless disregard count as knowledge. The company had a duty to check.

**What is the consequence of losing a status protest, beyond the protested award?**

A. None

✓ B. Decertification, ending eligibility for future set-asides in that category

C. A fine only

D. Automatic debarment

**WHY**

Status protests examine program eligibility. An adverse decision typically results in decertification.

**The FAR mandatory disclosure rule requires disclosure when the contractor has:**

A. Any compliance question

**✓ B. Credible evidence of a false claim or certain other violations**

C. Lost a protest

D. A DCAA audit scheduled

**WHY**

Credible evidence triggers disclosure to the OIG and CO. Timely self-disclosure is a mitigating factor.

**A HUBZone firm hires ten new employees who live outside any HUBZone. What is the risk?**

A. None; only the principal office matters

**✓ B. The 35% residency ratio may drop below the requirement, jeopardizing certification**

C. The firm loses SDVOSB status

D. The firm must relocate

**WHY**

Residency drift through hiring is the most common HUBZone compliance failure. Check the map before each offer letter.

**Which control best addresses affiliation risk from investors?**

A. Monthly residency checks

**✓ B. Legal review of every term sheet and shareholder agreement against SBA affiliation rules before signing**

C. A larger G&A rate

D. Annual CPARS review

**WHY**

Negative control provisions are the usual affiliation trap in investment documents. Review before signing.

**Match the pattern to the rule it violates:****CORRECT MATCHES**

|                                                    |                                        |
|----------------------------------------------------|----------------------------------------|
| Veteran owner is a figurehead                      | Ownership and control requirements     |
| Large sub performs the core work for a small prime | Affiliation (ostensible subcontractor) |
| Hiring outside the zone drops residency            | HUBZone 35% residency rule             |
| SAM still says small after growth                  | Size standard; deemed certification    |

**WHY**

Nominal ownership violates control rules; the large partner doing the work is affiliation; residency drift breaks the HUBZone 35% rule; stale SAM is a size misrepresentation.

**Order the steps after discovering a historical misrepresentation:****CORRECT ORDER**

1. Engage counsel immediately
2. Determine whether the mandatory disclosure rule applies
3. Correct the SAM representation
4. Disclose to the agency OIG and contracting officer
5. Negotiate resolution with mitigation credit for self-disclosure

**WHY**

Engage counsel, determine whether mandatory disclosure applies, correct SAM, disclose to the OIG and CO, then negotiate resolution.

**A PM is asked to sign a limitations-on-subcontracting compliance certification the PM knows is inaccurate. What is the correct action?**

A. Sign it; the company is responsible, not the individual

**✓ B. Refuse and escalate, because individuals face personal FCA and criminal exposure for false certifications**

C. Sign it with a note

D. Ask the sub to sign instead

**WHY**

Individuals who cause false claims face personal liability and possible debarment. Refuse and escalate in writing.

## SMALL BUSINESS IN DEFENSE CONTRACTING · LESSON 10

# Set-Asides From the Government Side: What the CO and the Specialist Actually Do

23 min

*The small business process as the government runs it. Market research, the DD Form 2579 coordination record, the Rule of Two determination, the small business specialist and SBA PCR review, choosing among programs, handling protests, and the questions a government PM should ask so the set-aside delivers what the program needs.*

## Same Rules, Other Chair

The first nine lessons in this module looked at small business rules from the contractor's side. This one sits in the contracting officer's chair, and next to it the program manager's, because government PMs shape requirements that become set-asides and live with the results. A PM who understands what the CO must document, who reviews it, and where the process bends will get better acquisition strategies and fewer surprises. And a contractor who understands the same thing knows exactly where in the process their sources sought response lands.

## The Decision Sequence

For an acquisition above the simplified threshold, the CO works through a sequence. Market research: what is the requirement, who can perform it, and specifically which small businesses responded to the sources sought. The Rule of Two: is there a reasonable expectation of two responsible small offers at fair market prices? If yes, which program: plain small business, or one of the socioeconomic categories, considering agency goals and progress. If the answer is that small business cannot perform, why not, documented. Then coordination: the small business specialist reviews and concurs or not, and at activities with an assigned PCR, SBA reviews too. Only then does the acquisition strategy go forward. In DoD, the DD Form 2579 is the artifact that records all of it.

## The DD Form 2579 in Practice

| SECTION                           | WHAT THE CO RECORDS                                               | WHAT REVIEWERS CHECK                                                                            |
|-----------------------------------|-------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|
| Requirement description and NAICS | What is being bought; the NAICS and its size standard             | Whether the NAICS fits the principal purpose; whether a different code would enable a set-aside |
| Market research summary           | Sources sought results; number and capability of small responders | Whether the research was adequate and recent; whether capable small firms were overlooked       |
| Recommended acquisition strategy  | Set-aside type, or unrestricted with rationale                    | Consistency with the Rule of Two and agency goals                                               |
| Subcontracting plan requirement   | Whether a plan will be required of large offerors                 | Goals aligned with agency targets                                                               |
| Specialist concurrence            | Signature and date, or non-concurrence with reasons               | Resolution before proceeding                                                                    |
| PCR review                        | SBA concurrence, recommendation, or no action                     | Whether a PCR recommendation was accepted or rejected in writing                                |

## The Small Business Specialist's Role

The specialist is not the CO's adversary, but is not on the CO's team either. Their job is to maximize small business participation for the activity, and they are measured on the activity's goals. In practice they do three things on each acquisition: check the market research for small businesses the CO may not have found, challenge an unrestricted strategy where the Rule of Two looks satisfied, and suggest ways to restructure a requirement (splitting scope, choosing a different NAICS, partial set-asides) so that part of it can be set aside. A CO who involves the specialist early gets a smoother coordination; one who sends the form at the end gets non-concurrence.

## Choosing Among the Programs

When the Rule of Two is met, the CO considers which set-aside category. The FAR gives discretion among the socioeconomic programs (with the 8(a) retention rule) and directs the CO to consider the agency's progress toward each goal. That is why the same requirement might be an SDVOSB set-aside at one activity and a HUBZone set-aside at another. Market research drives it: if the sources sought found two capable SDVOSBs and the activity is behind on its SDVOSB goal, the choice is obvious. If it found five small businesses of various types, the specialist and CO will weigh goals, the strength of the responses, and price risk.

**REAL TALK FOR GOVERNMENT PMS**

The set-aside decision is made on market research you probably helped write. If your sources sought was vague, the responses were vague, and the CO could not find two capable small firms, the acquisition goes unrestricted and the PM has just spent a year on a full-and-open competition that a clearer notice might have avoided. Write the sources sought as if you want to find capable small businesses. If they exist, you will, and the acquisition gets faster.

**Questions a Government PM Should Ask Before the Strategy Is Set**

- **Is the NAICS right?** The wrong code excludes firms who could do the work, or includes ones who cannot. The PM knows the work better than anyone.
- **Could the requirement be split?** A requirement with a large hardware buy and a services component may support a set-aside for the services even if the hardware cannot.
- **What does the sources sought need to ask?** Specific capability questions produce specific answers. "Describe your experience" produces brochures.
- **What are the performance risks with a small firm, honestly?** Surge capacity, clearances, facility requirements. Put them in the notice so responders address them, rather than discovering them at award.
- **Are we creating a bundling problem?** Consolidating requirements that small firms performed separately triggers statutory analysis and can be challenged.

One sentence to teach your team: **the set-aside decision is a documented finding built on market research, reviewed by the small business specialist and SBA, and the program office's sources sought is where that research comes from.**

**INTERMEDIATE****When the Set-Aside Does Not Work: Withdrawal and Resolicitation**

Sometimes a set-aside produces no acceptable offers, or only one, or prices the CO cannot find fair and reasonable. The CO may then withdraw the set-aside and resolicit on another basis, but must document why and coordinate with the specialist (and PCR). A single acceptable offer does not by itself require withdrawal; the CO can award to a single offeror if the price is reasonable. Withdrawing because "we only got one" is a common mistake that the specialist will challenge. Withdrawing because the one offer was unreasonably priced or technically unacceptable is proper, with the record to show it.

## Responsibility and the Certificate of Competency

When a small business is the apparent awardee and the CO has doubts about its capability, capacity, or financial resources, the CO cannot simply reject it as non-responsible. The CO must refer the matter to SBA, which conducts a Certificate of Competency review. If SBA issues a COC, the CO must award to the firm. If SBA declines, the CO may proceed to the next offeror. The COC process exists because responsibility determinations were historically used to exclude small firms. For a government PM, the lesson is that concerns about a small awardee's capacity need to be raised in the evaluation, with evidence, not at responsibility time.

## Handling Protests on the Government Side

| PROTEST TYPE                           | FILED WITH                                 | DECIDED BY      | EFFECT ON AWARD                                                   | CO ACTION                                                             |
|----------------------------------------|--------------------------------------------|-----------------|-------------------------------------------------------------------|-----------------------------------------------------------------------|
| Size protest                           | CO, within 5 business days of notification | SBA area office | Award may proceed at CO's discretion but is at risk; usually held | Forward to SBA with the offer and representation; await determination |
| Status protest (SDVOSB, HUBZone, WOSB) | CO, within 5 business days                 | SBA             | Same                                                              | Forward to SBA; do not award pending decision in most cases           |
| NAICS appeal                           | SBA OHA, within 10 days of solicitation    | OHA             | May require amendment                                             | Amend the solicitation if OHA changes the code                        |
| GAO bid protest on set-aside decision  | GAO, timing per GAO rules                  | GAO             | Automatic stay if timely                                          | Agency report; consider corrective action                             |
| PCR appeal of an unrestricted decision | Head of contracting activity               | HCA             | Acquisition paused pending decision                               | Document the rationale; HCA decides                                   |

## The 8(a) Path: Offer, Acceptance, and Direct Award

To award through the 8(a) program, the agency offers the requirement to SBA, which accepts it for the program (checking that it is not currently performed by a non-8(a) small business and that an eligible firm can perform). Under partnership agreements between SBA and most agencies, the CO can then award directly to the 8(a) firm on SBA's behalf without SBA signing each contract. Sole source is available within thresholds; above them, a competition among 8(a) firms is required. For a government PM, the 8(a) path is often the fastest route from validated requirement to award, and the specialist can usually identify eligible firms already performing similar work.

## ADVANCED

## Bundling and Consolidation: The Analysis the Statute Requires

When an agency combines requirements previously performed under separate contracts into one, and the result is unsuitable for small business, that is bundling, and it requires a written determination that the benefits (cost savings, quality, schedule) substantially exceed those of alternative strategies, with specific thresholds for what counts as substantial. Consolidation, a related concept, covers combining requirements even without the small business exclusion and has its own analysis requirement above a dollar threshold. Both must be coordinated with the specialist and SBA. A program that wants one large enterprise contract for efficiency needs to plan for this analysis a year ahead, and should expect the specialist to propose alternatives such as a partial set-aside or a small business reserve within the vehicle.

## Set-Asides on Multiple-Award Vehicles

On multiple-award contracts, the set-aside question recurs at the order level. Agencies may set aside orders for small business under a full-and-open vehicle if small holders exist, may reserve a number of awards for small businesses when the vehicle is competed, or may establish a small business track within the vehicle. Each approach has rules about how the Rule of Two applies at the order level and whether it is mandatory or discretionary. Government PMs planning to use a vehicle should ask the specialist how small business participation will work at the order level before choosing the vehicle, because the answer differs by vehicle and by agency policy.

## How the Set-Aside Delivers (or Fails) for the Program

The government PM lives with the outcome. These are the recurring lessons.

### The requirement was written for a large firm

#### REQUIREMENTS

Facility clearance, surge to 200 staff, nationwide presence.

If those are real needs, say so in the sources sought so small responders can address them with teams. If they are habits, remove them.

### The set-aside produced one bidder

#### COMPETITION

Market research overstated the field.

Single-offer awards are allowed with a reasonable price. But next time, verify capability in the sources sought responses, not just interest.

### The small prime was a front

#### PERFORMANCE

A large sub did the work; the small prime added nothing.

The PM sees this first. Raise it with the CO; it bears on limitations on subcontracting and possibly on the award itself.



**The set-aside prime grew large** **RECERTIFICATION**

At year five, recertification shows the firm is now large.

The agency loses goal credit. The CO decides on options; the PM should know the recompetes is coming.

**It worked** **SUCCESS**

A capable small firm, a clean award, good performance, and goal credit.

Document it. The next Rule of Two analysis for similar work will cite it.

**WHAT SENIOR GOVERNMENT PMS DO DIFFERENTLY**

They write sources sought notices that find capable small firms. They involve the small business specialist when the requirement is drafted, not when the form needs a signature. They ask whether the NAICS and the scope structure are enabling or excluding small business, and why. They raise capacity concerns in the evaluation, with evidence, rather than at responsibility. And they treat the small business specialist as a partner in getting to award faster, which, used well, is what set-asides do.

**BUILD ON THIS**

- **The Set-Aside Programs** The Rule of Two and the programs the CO chooses among
- **Source Selection** What happens after the set-aside decision
- **Winning as a Small Business** The contractor's view of the same process

## Key Terms

### **DD Form 2579**

The Small Business Coordination Record. In DoD, the form the CO completes for acquisitions above the simplified threshold documenting the set-aside analysis, reviewed by the small business specialist and, where assigned, the SBA PCR.

### **Market Research Report**

The documented basis for the acquisition strategy, including the Rule of Two analysis: which small businesses responded, their capability, and the CO's conclusion.

### **Rule of Two Determination**

The CO's written finding on whether there is a reasonable expectation of at least two responsible small business offers at fair market prices, and if so, which category of set-aside.

### **Small Business Specialist Concurrence**

The specialist's review and signature on the coordination record. Non-concurrence must be resolved or elevated before the acquisition proceeds.

### **PCR Recommendation**

The SBA Procurement Center Representative's formal recommendation to set aside or restructure an acquisition. The CO may reject it in writing, and the PCR may appeal to the head of the contracting activity.

### **Withdrawal of a Set-Aside**

The CO's decision, before award, to cancel a set-aside (for example, when no acceptable offers are received) and resolicit on another basis. Requires documentation and specialist coordination.

### **8(a) Offer and Acceptance**

The process by which an agency offers a requirement to the SBA for the 8(a) program and SBA accepts it, after which award is made to an 8(a) firm. Partnership agreements let many agencies award directly.

### **Responsibility Determination**

The CO's finding that the apparent awardee can perform. For a small business, a non-responsibility finding is referred to SBA for a Certificate of Competency review before the firm can be rejected.

### **Certificate of Competency (COC)**

SBA's determination, after a CO finds a small business non-responsible, that the firm is in fact capable. If SBA issues a COC, the CO must award to the firm.

### **Bundling and Consolidation**

Combining requirements previously performed under separate smaller contracts into one large contract. Restricted by statute because it tends to exclude small business; requires justification and analysis.

## Knowledge Check

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In DoD, which form documents the CO's set-aside analysis and the small business specialist's review?

A. DD Form 1423

✓ B. DD Form 2579

C. SF 1449

D. SBA Form 355

### WHY

The DD 2579 Small Business Coordination Record records the market research, strategy, and reviewer concurrence.

What is the basis for the CO's Rule of Two determination?

A. The agency's budget

✓ B. Market research, especially sources sought responses showing capable small businesses

C. The PM's preference

D. The previous contract type

### WHY

The reasonable expectation of two responsible small offers comes from documented market research.

What can the small business specialist do if they disagree with an unrestricted strategy?

A. Nothing; the CO decides alone

✓ B. Non-concur on the coordination record, which must be resolved or elevated before the acquisition proceeds

C. Award the contract to a small business

D. File a GAO protest

### WHY

Specialist non-concurrence stops the coordination until resolved.

**A set-aside receives only one acceptable offer at a reasonable price. What may the CO do?**

A. Must withdraw the set-aside

✓ **B. May award to the single offeror**

C. Must resolicit full and open

D. Must refer to SBA

**WHY**

A single acceptable offer at a fair price supports award. Withdrawal requires a documented reason such as unreasonable price or no acceptable offer.

**The CO doubts a small business awardee's capacity and wants to find it non-responsible. What must happen first?**

A. The CO rejects the firm

✓ **B. The matter is referred to SBA for a Certificate of Competency review**

C. The firm is debarred

D. The award goes to the next offeror automatically

**WHY**

Non-responsibility findings on small businesses are referred to SBA. A COC requires the CO to award to the firm.

**What can an SBA PCR do if the CO rejects a recommendation to set aside?**

A. Nothing

✓ **B. Appeal to the head of the contracting activity, pausing the acquisition**

C. Cancel the solicitation

D. Award to a small business directly

**WHY**

PCR appeals go to the HCA and pause the acquisition pending decision.

**Under the 8(a) offer and acceptance process:**

A. The CO awards without SBA involvement in any case

✓ **B. The agency offers the requirement to SBA, SBA accepts it, and under partnership agreements the CO may award directly on SBA's behalf**

C. SBA runs the competition

D. The PM selects the firm

**WHY**

SBA accepts the requirement into the program; partnership agreements streamline the award.

**What is "bundling"?**

A. Awarding multiple contracts to one firm

✓ **B. Combining requirements previously performed under separate smaller contracts into one that is unsuitable for small business, requiring a written benefits determination**

C. Using an IDIQ

D. Setting aside multiple orders

**WHY**

Bundling is restricted by statute because it excludes small business, and requires documented, substantial benefits.

**Why should a government PM write a specific sources sought notice?**

A. To meet a page count

✓ **B. Because specific capability questions produce specific answers that let the CO find capable small firms and set the acquisition aside**

C. Because SBA requires it

D. To reduce the number of responses

**WHY**

Vague notices produce vague responses and unrestricted acquisitions. Specific notices find capable sources faster.

**Order the government's set-aside decision sequence:****CORRECT ORDER**

1. Market research including sources sought
2. Rule of Two determination
3. Choose the set-aside category considering goals
4. Small business specialist and PCR coordination
5. Acquisition strategy approved and solicitation issued

**WHY**

Market research, Rule of Two determination, program selection, specialist and PCR coordination, then the acquisition strategy proceeds.

**Match the protest or appeal to who decides it:****CORRECT MATCHES**

|                                     |                                    |
|-------------------------------------|------------------------------------|
| Size protest                        | SBA area office                    |
| NAICS appeal                        | SBA Office of Hearings and Appeals |
| PCR appeal of unrestricted decision | Head of the contracting activity   |
| Bid protest of set-aside decision   | GAO                                |

**WHY**

Size and status protests go to SBA; NAICS appeals to OHA; PCR appeals to the HCA; bid protests to GAO.

**A government PM observes that the small prime's work is entirely performed by a large subcontractor. What should the PM do?**

- A. Nothing; teaming is the contractor's choice
- ✓ **B. Raise it with the CO, since it bears on limitations on subcontracting and potentially on the award**
- C. Terminate the contract
- D. Contact the subcontractor directly

**WHY**

The PM sees performance first. The CO needs that observation to enforce the rules.

**SMALL BUSINESS IN DEFENSE CONTRACTING · MODULE ASSESSMENT**

# Module Assessment

Pass this to unlock the next skill level in the app.

## Knowledge Check

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A company's size for a given competition is determined by:

- A. Its primary NAICS in SAM
- ✓ B. The NAICS code the CO assigned to the solicitation and that code's size standard
- C. Its largest contract
- D. Its employee count only

### WHY

The solicitation's NAICS controls which size standard applies.

Receipts-based size is calculated as:

- A. Last year's revenue
- ✓ B. The average of the last five completed fiscal years, including affiliates
- C. Profit over three years
- D. Prime contract revenue only

### WHY

Five-year average of total receipts, with affiliates' receipts included.

The Rule of Two requires a set-aside when the CO reasonably expects:

- A. Any small business interest
- ✓ B. Offers from at least two responsible small businesses at fair market prices
- C. Two large business offers
- D. Two sole-source candidates

### WHY

Two responsible small offerors at fair prices, supported by market research.



**On a services set-aside, the prime may not pay non-similarly-situated subcontractors more than:**

A. 25% of amount paid

**✓ B. 50% of amount paid by the government**

C. 70% of total cost

D. 85% of amount paid

**WHY**

The services limitation is 50% of the amount the government pays the prime, measured in dollars.

**A subcontractor that performs the primary and vital requirements of a small prime's contract is:**

A. A similarly situated entity

**✓ B. An ostensible subcontractor, making the prime and sub affiliated for the award**

C. Exempt from limitations

D. A mentor

**WHY**

The ostensible subcontractor rule treats the pair as joint venturers and therefore affiliated.

**In a mentor-protégé JV pursuing a set-aside, the protégé must:**

A. Own 100% of the JV

**✓ B. Be the managing venturer, employ the project manager, and perform at least 40% of the JV's work**

C. Perform 51% of the work

D. Hold an 8(a) certification

**WHY**

Management, project manager employment, and 40% workshare are the core protégé requirements.

**A large prime that fails to make a good faith effort to meet its subcontracting plan goals may owe:**

- A. Nothing
- ✓ B. Liquidated damages equal to the shortfall against the goals
- C. A fixed \$10,000 penalty
- D. Its fee

**WHY**

FAR 52.219-16 sets liquidated damages at the dollar shortfall when good faith effort is lacking.

**Which document gives the small business specialist the basis to recommend a set-aside?**

- A. The proposal
- ✓ B. Sources sought responses from capable small businesses
- C. The CPARS record
- D. The subcontracting plan

**WHY**

Sources sought responses are the market research behind the Rule of Two.

**A company sold to a large business must recertify its size within:**

- ✓ A. 30 days
- B. 120 days
- C. One year
- D. Never

**WHY**

Recertification is required within 30 days of a merger, acquisition, or sale.

**Under the presumption of loss rule, damages for willful size or status misrepresentation are presumed to equal:**

- A. The contractor's profit
- ✓ **B. The total amount paid under the contract**

- C. The difference from the next bid
- D. 10% of contract value

**WHY**

Full contract value, which the False Claims Act then trebles.

**Which authority allows sole-source awards regardless of the firm's current size?**

- A. HUBZone sole source
- ✓ **B. SBIR/STTR Phase III**

- C. 8(a) sole source
- D. Small business set-aside

**WHY**

Phase III awards derived from SBIR/STTR work can be made without regard to size.

**A CO doubts a small business awardee's capability. Before rejecting it as non-responsible, the CO must:**

- A. Award to the next offeror
- ✓ **B. Refer the matter to SBA for a Certificate of Competency review**

- C. Cancel the solicitation
- D. File a size protest

**WHY**

Small business non-responsibility findings are referred to SBA; a COC compels award.